

GATESHEAD & NEWCASTLE

STRATEGIC HOUSING MARKET

ASSESSMENT UPDATE

FINAL REPORT



www.dcauk.co

CONTENTS

1	INTRODUCTION & METHODOLOGY	6
1.1	BACKGROUND AND CONTEXT TO THE GATESHEAD & NEWCASTLE UPDATE	6
1.2	THE UPDATE REPORT STRUCTURE	6
1.3	THE 2012 HOUSING NEEDS ASSESSMENT UPDATE	7
1.4	DATA BENCHMARKING	8
1.5	GLOSSARY OF TERMS	8
2	KEY 2001 TO 2011 CENSUS COMPARISONS.....	9
2.2	TENURE.....	9
2.3	PROPERTY TYPE	10
2.4	HOUSEHOLD COMPOSITION	11
3	THE ACTIVE MARKET.....	12
3.1	INTRODUCTION	12
3.2	THE FUTURE MARKET OUTLOOK	12
3.3	CURRENT HOUSING SUPPLY AND TURNOVER	13
3.4	CURRENT PRICES.....	13
3.5	REGIONAL PICTURE.....	13
3.6	AVERAGE HOUSE PRICES	14
3.7	SALES TRANSACTIONS	15
3.8	THE UK MORTGAGE MARKET	16
3.9	SUB-AREA BREAKDOWN.....	19
3.10	ENTRY SALES LEVELS	19
3.11	GATESHEAD LOWER QUARTILE SALES.....	19
3.12	NEWCASTLE LOWER QUARTILE SALES.....	20
3.13	THE PRIVATE RENTED SECTOR	21
3.14	LOCAL HOUSING ALLOWANCE FOR SINGLE PEOPLE	22
3.15	AFFORDABLE RENTS.....	23
3.16	GATESHEAD AFFORDABLE RENTS.....	23
3.17	NEWCASTLE AFFORDABLE RENTS	24
3.18	WELFARE REFORM FOR HOUSING BENEFIT.....	25
3.19	GATESHEAD IMPACT BY WARD	26
3.20	NEWCASTLE WELFARE REFORM IMPACT	27
3.21	NEWCASTLE IMPACT BY WARD	28
3.22	INTERMEDIATE HOUSING COSTS.....	30
4	HOUSING COSTS AND INCOME	31
4.1	INTRODUCTION	31
4.2	GATESHEAD PURCHASE INCOME THRESHOLDS	31
4.3	NEWCASTLE PURCHASE INCOME THRESHOLDS	32
4.4	GATESHEAD RENTAL INCOME THRESHOLDS	34
4.5	NEWCASTLE RENTAL INCOME THRESHOLDS	35
4.6	ANNUAL SURVEY OF HOURS AND EARNINGS.....	35
5	POPULATION GROWTH & HOUSEHOLD PROJECTIONS.....	39
5.1	INTRODUCTION	39
5.2	THE HISTORIC DEMOGRAPHIC STRUCTURE (2001-2011).....	39
5.3	THE FUTURE POPULATION - GATESHEAD	40
5.4	THE POPULATION AGE STRUCTURE PROJECTIONS	40
5.5	OLDER POPULATION GROWTH PROJECTIONS	41
5.6	65+ AGE STRUCTURE BREAKDOWN	42
5.7	THE OVER 75 POPULATION.....	43
5.8	THE FUTURE POPULATION - NEWCASTLE	43
5.9	THE POPULATION AGE STRUCTURE PROJECTION	44
5.10	OLDER POPULATION GROWTH PROJECTIONS.....	45
5.11	65+ AGE STRUCTURE BREAKDOWN	45
5.12	THE OVER 75 POPULATION.....	46

5.13	PROJECTED CHANGE IN HOUSEHOLDS	47
5.14	ST CHAD'S COLLEGE STUDY	48
6	ECONOMIC ACTIVITY	49
6.1	INTRODUCTION	49
6.2	THE UK ECONOMY	49
6.3	EMPLOYMENT	50
6.4	OCCUPATION	50
6.5	INCOME	51
6.6	MIGRATION	52
7	THE HOUSING REQUIREMENTS OF SPECIFIC GROUPS	55
7.2	HOUSING NEEDS OF OLDER PEOPLE	55
7.3	POPULATION GROWTH AND HOUSING NEEDS OF 75+ AGE GROUP	56
7.4	SHELTERED HOUSING DEMAND	58
7.5	MAKING BEST USE OF THE EXISTING STOCK	58
7.6	MAKE THE BEST USE OF ADAPTED PROPERTIES	58
7.7	GYPSY AND TRAVELLER & TRAVELLING SHOW PEOPLE HOUSEHOLDS	59
8	FUTURE SIZE OF AFFORDABLE HOUSING	60
8.2	THE SOCIAL RENTED SECTOR	60
8.3	UNDER-OCCUPATION	62
9	CLG NEEDS ASSESSMENT MODEL STRUCTURE	63
9.1	INTRODUCTION	63
9.2	THE CLG NEEDS ASSESSMENT MODEL STRUCTURE	63
9.3	NEWCASTLE AND GATESHEAD NEEDS ASSESSMENT MODEL	64
9.4	STAGE 2 – FUTURE NEED (GROSS PER YEAR)	65
9.5	STAGE 3 – AFFORDABLE HOUSING SUPPLY	66
9.6	NEW SUPPLY	67
9.7	RIGHT TO BUY / DEMOLITION	67
9.8	COMBINED AFFORDABLE HOUSING NEEDS MODEL	69
9.9	AFFORDABLE NEEDS ASSESSMENT	70
10	FUTURE HOUSING DELIVERY TARGETS	71
10.1	OVERALL HOUSING DEMAND	71
10.2	AFFORDABLE HOUSING	71
10.3	FUTURE HOUSING DELIVERY	72
10.4	AFFORDABLE HOUSING TARGET	72
10.5	TENURE MIX TARGETS	73
10.6	FUTURE PROPERTY SIZE TARGETS BY TENURE	73
10.7	INTERMEDIATE HOUSING SECTOR	74
10.8	MARKET HOUSING SECTOR	75
11	KEY FINDINGS AND HOUSING TARGET SUMMARY	76

TABLES

TABLE 2-1	GATESHEAD AND NEWCASTLE TENURE PROFILE – CENSUS 2001 & 2011	9
TABLE 2-2	GATESHEAD AND NEWCASTLE HOUSING TYPE – CENSUS 2001 & 2011	10
TABLE 2-3	GATESHEAD AND NEWCASTLE HOUSEHOLD COMPOSITION – CENSUS 2001 & 2011	11
TABLE 3-1	ABSOLUTE TREND IN SALES Q3 2010 TO Q3 2012	15
TABLE 3-2	HOUSE PURCHASE AND RE-MORTGAGES, OCTOBER 2011 – OCTOBER 2012	17
TABLE 3-3	LOANS TO FIRST-TIME BUYERS OCTOBER 2011 – OCTOBER 2012	18
TABLE 3-4	ENTRY SALES LEVELS (£) IN GATESHEAD – SEPTEMBER 2012	19
TABLE 3-5	ENTRY SALES LEVELS (£) IN NEWCASTLE – SEPTEMBER 2012	20
TABLE 3-6	GATESHEAD AVERAGE AND ENTRY RENT LEVELS, SEPTEMBER 2012 (£ P/M)	21
TABLE 3-7	NEWCASTLE AVERAGE AND ENTRY RENT LEVELS, SEPTEMBER 2012 (£ P/M)	22
TABLE 3-8	AVERAGE SOCIAL RENT UP TO 80% OF AVERAGE PRIVATE SECTOR RENT	23
TABLE 3-9	AVERAGE SOCIAL RENT UP TO 80% OF AVERAGE PRIVATE SECTOR RENT	24
TABLE 3-10	BREAKDOWN OF GATESHEAD TENANTS AFFECTED BY SIZE CRITERIA WELFARE REFORM	26
TABLE 3-11	BREAKDOWN OF TENANTS AFFECTED BY PROPERTY TYPE	26
TABLE 3-12	BREAKDOWN OF TENANTS AFFECTED BY BEDROOM ENTITLEMENT	27
TABLE 3-13	BREAKDOWN OF TENANTS AFFECTED BY AGE OF TENANT	27
TABLE 3-14	BREAKDOWN OF NEWCASTLE TENANTS AFFECTED BY SIZE CRITERIA WELFARE REFORM	28
TABLE 3-15	SHARED OWNERSHIP COSTS	30
TABLE 4-1	GATESHEAD SINGLE INCOME THRESHOLDS – SEPTEMBER 2012	31
TABLE 4-2	GATESHEAD JOINT INCOME THRESHOLDS SEPTEMBER 2011	32
TABLE 4-3	NEWCASTLE SINGLE INCOME THRESHOLDS – SEPTEMBER 2012	32
TABLE 4-4	NEWCASTLE JOINT INCOME THRESHOLDS SEPTEMBER 2011	33
TABLE 4-5	SINGLE RENTAL INCOME THRESHOLDS – SEPTEMBER 2012	34
TABLE 4-6	NEWCASTLE SINGLE RENTAL INCOME THRESHOLDS – SEPTEMBER 2012	35
TABLE 4-7	INCOMES OF EXISTING NEWCASTLE HOUSEHOLDS 2010 & 2011	36
TABLE 4-8	INCOMES OF EXISTING GATESHEAD HOUSEHOLDS 2010 & 2011	36
TABLE 4-9	INCOMES OF CONCEALED NEWCASTLE HOUSEHOLDS 2010 & 2011	36
TABLE 4-10	NEWCASTLE CONCEALED HOUSEHOLDS – INCOMES NEEDED AND % UNABLE TO BUY	37
TABLE 4-11	NEWCASTLE CONCEALED HOUSEHOLDS – INCOMES NEEDED AND % UNABLE TO RENT	37
TABLE 4-12	INCOMES OF CONCEALED GATESHEAD HOUSEHOLDS 2010 & 2011	37
TABLE 4-13	GATESHEAD CONCEALED HOUSEHOLDS – INCOMES NEEDED AND % UNABLE TO BUY	38
TABLE 4-14	GATESHEAD CONCEALED HOUSEHOLDS – INCOMES NEEDED AND % UNABLE TO RENT	38
TABLE 5-1	POPULATION CHANGE, 2001 / 2011	40
TABLE 5-2	TOTAL POPULATION CHANGE IN GATESHEAD, 2011 – 2035	40
TABLE 5-3	POPULATION AGE BAND PROJECTIONS, GATESHEAD, 2010 – 2030	40
TABLE 5-4	65+ POPULATION AGE BAND PROJECTION, GATESHEAD, 2010 – 2030	41
TABLE 5-5	BREAKDOWN OF 65 + AGE GROUPS, GATESHEAD 2010 – 2030	42
TABLE 5-6	75+ POPULATION AGE BAND PROJECTION, GATESHEAD, 2010 – 2030	43
TABLE 5-7	TOTAL POPULATION CHANGE IN NEWCASTLE, 2010 – 2030	43
TABLE 5-8	POPULATION AGE BAND PROJECTION, NEWCASTLE, 2010 – 2030	44
TABLE 5-9	65+ POPULATION AGE BAND PROJECTION, NEWCASTLE, 2010 – 2030	45
TABLE 5-10	BREAKDOWN OF 65 + AGE GROUPS, 2010 – 2030	45
TABLE 5-11	75+ POPULATION AGE BAND PROJECTION, NEWCASTLE, 2010 – 2030	46
TABLE 5-12	PROJECTED CHANGE IN HOUSEHOLDS IN GATESHEAD, 2010 – 2030	47
TABLE 5-13	PROJECTED CHANGE IN HOUSEHOLDS IN NEWCASTLE, 2010 – 2030	47
TABLE 6-1	EMPLOYMENT CHANGE 2008-2011	50
TABLE 6-2	% CHANGE IN RESIDENCE AVERAGE GROSS WEEKLY PAY (£) 2009-2011	52
TABLE 6-3	NEWCASTLE NET MIGRATION BALANCE BY AGE GROUPS 2011 - %	54
TABLE 6-4	GATESHEAD NET MIGRATION BALANCE BY AGE GROUPS 2011 - %	54
TABLE 7-1	PROJECTED HOUSING NEED OF 75+ YEAR OLDS	57
TABLE 8-1	SOCIAL STOCK, WAITING LIST NEED AND SOCIAL TURNOVER	60
TABLE 9-1	OVERCROWDED AND CONCEALED HOUSEHOLDS	64
TABLE 9-2	CURRENT HOUSING NEED (GROSS)	65
TABLE 9-3	TIME OF MOVE – CONCEALED HOUSEHOLDS	65
TABLE 9-4	FUTURE NEED (GROSS PER YEAR)	66
TABLE 9-5	NEW AFFORDABLE HOUSING SUPPLY - 2010 TO 2012	67

TABLE 9-6	2011 TO 2014 RIGHT TO BUY & DEMOLITION	67
TABLE 9-7	COMBINED SOCIAL RENT RE-LET SUPPLY (2011 / 2012)	68
TABLE 9-8	AFFORDABLE HOUSING SUPPLY	68
TABLE 9-9	ANNUAL AFFORDABLE NEED AND SUPPLY.....	70
TABLE 10-1	FUTURE HOUSING DELIVERY BY TENURE.....	75

FIGURES

FIGURE 3-1	AVERAGE HOUSE PRICES BY TYPE, Q3 2012	14
FIGURE 3-2	2010 -2012 AVERAGE PROPERTY PRICE	15
FIGURE 3-3	VOLUME OF SALES (2010 -2012)	16
FIGURE 3-4	GROSS MORTGAGE LENDING	17
FIGURE 3-5	BOROUGH AFFORDABLE RENT LEVELS.....	24
FIGURE 3-6	CITY- WIDE AFFORDABLE RENT LEVELS.....	25
FIGURE 5-1	AGE BAND PERCENTAGE CHANGE PROJECTIONS, GATESHEAD, 2010 – 2030	41
FIGURE 5-2	% CHANGE OF 65+ 2010 – 2030	42
FIGURE 5-3	AGE BAND PERCENTAGE CHANGE PROJECTION, NEWCASTLE, 2011 – 2030	44
FIGURE 5-4	% CHANGE OF 65+ 2011 – 2030.....	46
FIGURE 6-1	OCCUPATIONAL STRUCTURE, 2011/2012	51
FIGURE 6-2	AVERAGE RESIDENCE GROSS WEEKLY PAY 2009 / 2011	51
FIGURE 6-3	AVERAGE AND LOWER QUARTILE EARNINGS 2009-2011 PER WEEK	52
FIGURE 6-4	OUT MIGRATION FROM GATESHEAD AND NEWCASTLE (JUNE2010-JUNE 2011).....	53
FIGURE 6-5	IN-MIGRATION (JUNE 2010-JUNE 2011).....	53

APPENDIX

I	Glossary of Terms
II	Land Registry Quarterly Sales figures (Q3 2010 to Q3 2012)
III	Affordable Rent Levels by sub-area

1 INTRODUCTION & METHODOLOGY

1.1 Background and Context to the Gateshead & Newcastle Update

- 1.1.1 A Strategic Housing Market & Needs Assessment (SHMA) was originally undertaken in Gateshead & Newcastle in 2010.
- 1.1.2 The SHMA was overseen and approved by a multi-agency Housing Partnership comprising of representatives from the private and public sectors. The SHMA and Housing Survey data will remain valid until 2015 at which stage it will need to be fully updated as required in Guidance. It was recommended that the assessment should be monitored and updated annually.
- 1.1.3 The study consisted of the following elements:-
 - Primary data analysis from a face to face interview survey of 2,262 households; 1,102 in Newcastle and 1,160 in Gateshead conducted in August 2010 by Total Research an independent company commissioned by both authorities.
 - Extensive secondary data analysis.
- 1.1.4 This update has been commissioned by Gateshead Borough Council and Newcastle City Council.

1.2 The Update Report Structure

- 1.2.1 The purpose of a SHMA Update is to analyse any changes since the original study in the key market drivers, demographic change, house prices and rents (and the introduction of affordable market rents) and to re-calculate the need for affordable housing and re-assess housing targets.
- 1.2.2 It is not normal practice to update every section of a SHMA report as much of the original information is secondary data and based on the 2001 Census data and until the new 2011 Census data is available this will not change.
- 1.2.3 The key report sections contained within the update are detailed below.

Section 3 - The Active Market

- 1.2.4 This Section contains analysis of current housing market activity, using data over the same 8 sub-areas as in the 2010 SHMA. This section examines the cost of buying or renting a property in Gateshead & Newcastle in 2012. Comparisons are made with property prices at the time of the 2010 Assessment compared to current property prices, along with the historical property price and sales volumes from Quarter 2 2010 to Quarter 2 2012.

Section 4 – Housing Costs and Income

- 1.2.5 This section of the update assesses the income levels required to access the cheapest units available from the research undertaken in section.

Section 5 – Population Growth and Household Projections

1.2.6 Section 5 examines:-

- Future population change projections.
- Household characteristics.

Section 6 – Economic Activity

1.2.7 Section 6 looks at employment, occupation structures, income and migration patterns.

Section 7 – Housing Needs of Older People

1.2.8 Section 7 examines:-

- Population growth and housing needs over 75+ age group.
- Making best use of existing stock.
- Sheltered housing demand.

Section 8 – Future Size of Affordable Housing

1.2.9 Section analyses the scale of future affordable housing need relative to the supply from turnover by property size.

Section 9 – Needs Assessment Model

1.2.10 Section 9 consists of the Communities and Local Government (CLG) Needs Assessment Model. This provides a quantitative assessment of housing need.

Section 10 – Future Housing Delivery Targets

1.2.11 Section 10 consists of Tenure Mix Targets and future property size targets by tenure.

Section 11– Key Housing Delivery Targets

1.2.12 In this section, the key findings from this update and the recommended housing targets are summarised.

1.3 The 2012 Housing Needs Assessment Update

1.3.1 DCA will provide a “desk-top” up-dating service which will include re-examination of the housing market both for purchase and rent, household incomes and secondary data on waiting list, homelessness, social housing re-lets, new supply and planning consents.

1.3.2 We will also assess the potential for Affordable Rents and their potential impact on intermediate housing options which are critical to tenure mix targets and to site viability.

1.3.3 This update will bring the 2010 HMNA data into a current market context. This is critically important in view of the major changes in the economy and the housing market over the last two years in particular.

1.3.4 The update report will review the outputs of the 2010 study where more recent data is available. This will include the following:-

- Updating the data to represent the current population size so that the survey information would provide data as if the survey had been undertaken now;

- Re-assess house prices using the Land Registry database at sub-area level;
- An internet and telephone housing market survey of estate agents to assess the current lower quartile price levels and average rental costs in the private rented sector in the survey sub-areas;
- Indexation of survey income levels using ASHE data for the sub-region to be able to calculate current affordability thresholds for both purchase and access to the private rented sector at sub-area level;
- Analyse the most recent population and household formation projections in view of the impact of demographic change on household formation and future demand;
- Analysis of the HSSA and CORE data for the year to March 2012 to calculate an annual level of re-lets, waiting list change, right to buy and loss of stock and new housing delivery by tenure;
- An assessment of under-occupation in the social stock compared to turnover by bedroom size, to enable size targets to be set for the social sector and to inform strategies for older persons housing;
- Assessment of current affordability and of the impact of Affordable Rents in terms of scale of households who could benefit and the impact on intermediate market initiatives such as shared equity;
- A new 2012 based Assessment Model of affordable housing need based on the 2007 Good Practice Guidance.

1.4 Data Benchmarking

- 1.4.1 Throughout this update where possible, DCA have provided data at national (England), regional (the North East or North), and the individual local authority scale (Gateshead & Newcastle). These will be referred to throughout the report as benchmark areas. The use of benchmark areas aims to provide an understanding of comparative performance between Gateshead & Newcastle and wider areas.
- 1.4.2 In some areas of the report data has been benchmarked to include the North East LEP areas of :-
- Durham County
 - Northumberland County
 - North Tyneside
 - South Tyneside
 - Sunderland

1.5 Glossary of Terms

- 1.5.1 A glossary of the technical terms used throughout this report is provided at **Appendix I**.

2 KEY 2001 TO 2011 CENSUS COMPARISONS

- 2.1.1 This SHMA was completed prior to the release of Census 2011 data. We have added this section to highlight the key changes in tenure, property type and household composition which have taken place in the inter-censal period.
- 2.1.2 The last decade has seen very extreme economic and housing market conditions of boom and collapse. These have had major impact on the structure of the market and we are providing some of the key data just released from the 2011 Census to give some background to the current situation in Gateshead and Newcastle.
- 2.1.3 There is quite a lot of Census data not yet available including data at Parish level and migration data.

2.2 Tenure

- 2.2.1 Both at national and local authority level there has been a significant fall in the proportion of owner occupiers with a mortgage and a corresponding increase in those who own outright and in the private rented sector.
- 2.2.2 In England, owner occupation has reduced from 68.1% to 63.4% a fall of 4.7% and by 6.1% in the proportion of households with mortgages between the 2001 and 2011 Censuses.
- 2.2.3 The private rented sector nationally has grown by 6.1%, an increase of over 50%. The data for Gateshead and Newcastle is analysed below.

Table 2-1 Gateshead and Newcastle Tenure Profile – Census 2001 & 2011

Tenure	Gateshead			Newcastle		
	2001	2011	% Change	2001	2011	% Change
Owner Occupied with Mortgage	35.4	32.3	-3.1	32.2	27.1	-5.1
Owner Occupied no Mortgage	22.3	25.9	+3.6	20.7	22.4	+1.7
Shared Ownership	0.5	0.4	-0.1	0.5	0.4	-0.1
Social rented	34.3	28.0	-6.3	33.4	29.7	-3.7
Private rented / Other	7.6	13.4	+5.8	13.2	20.4	+7.2

Source: ONS Census data 2001 / 2011

- 2.2.4 Owner occupation overall in Gateshead has increased by 0.5% to 58.2%. In Newcastle owner occupation has decreased overall by 3.4% to 49.5%.
- 2.2.5 In Gateshead the proportion of those with a mortgage has reduced by -3.1%, with an increase in those who own outright of 3.6%, reflecting demographic change. In Newcastle there has been a decrease of -5.1% in the proportion of those with a mortgage compared to an increase of 1.7% in those who own their property outright.
- 2.2.6 The proportion of social rent has decreased in both Gateshead and Newcastle, -6.3% and -3.7% respectively.
- 2.2.7 In Gateshead the private rented sector has increased by 5.8%, an increase of over 70% in the Borough much higher than the national level.

- 2.2.8 Newcastle has also seen a large increase in private rent of 7.2%, an increase of over 50% in the City, similar to the national level.
- 2.2.9 The major reasons are that:-
- There are more older people in the population than 10 years ago many who have repaid their mortgage;
 - Some people may have taken advantage of the low interest rate to repay their mortgage early;
- 2.2.10 There has been a dramatic fall in first time buyers because of affordability, lending criteria and the difficulty in obtaining a mortgage over the last five years;
- 2.2.11 This has created large increase in young households in the private rented sector, along with the growth through buy to let as an investment.

2.3 Property Type

- 2.3.1 The changes in property type are much lower as would be expected. At both national and local authority level there has been a slight fall in the proportion of detached and semi detached properties and a corresponding increase in the proportion of flats.
- 2.3.2 In England, the proportion of detached houses has reduced by 0.5% to 22.3%, semi-detached by 0.9% to 30.7% and terraced properties have seen the largest reduction of 1.5% from 26% to 24.5%.
- 2.3.3 In Gateshead and Newcastle, the proportion of flats has increased since 2001, by 1.9% in each area. Detached properties have also seen an increase since 2001 of 0.4% in Gateshead and 0.3% in Newcastle.

Table 2-2 Gateshead and Newcastle Housing Type – Census 2001 & 2011

House Type	Gateshead			Newcastle		
	2001	2011	% Change	2001	2011	% Change
Detached	10.1	10.5	+0.4	7.5	7.8	+0.3
Semi-detached	42.5	41.7	-0.8	34.8	33.7	-1.1
Terraced	28.4	26.9	-1.5	27.4	26.3	-1.1
Flat	18.9	20.8	+1.9	30.3	32.2	+1.9
Caravan / Mobile Home	0.1	0.1	-	0.0	0.0	-

Source: ONS Census data 2001 / 2011

- 2.3.4 The level of semi-detached and terraced properties has decreased since 2001 in both Gateshead and Newcastle.

2.4 Household Composition

- 2.4.1 Nationally the proportion of pensioner households has fallen slightly by 2.7%. The impact of in migrating younger households from other countries may have an influence on this as the level of single households has risen by 2.1% and lone parents by 1.2%.
- 2.4.2 In Gateshead, the proportion of households aged over 65 has decreased by -3.6% and in Newcastle the proportion has decreased by -5.2% since 2001, both higher than the national level.
- 2.4.3 Single person households and lone parent households have increased in both areas; 2.4% in Gateshead and 2.9% in Newcastle. Couple households and couple with children households have increased by 1.4% in Gateshead and 1.4% in Newcastle.
- 2.4.4 Newcastle has also seen a 1.8% increase in student households since the 2001 Census.

Table 2-3 Gateshead and Newcastle Household Composition – Census 2001 & 2011

Household	Gateshead			Newcastle		
	2001	2011	% Change	2001	2011	% Change
One Person household (65+)	16.6	13.6	-3.0	16.2	12.6	-3.6
One Person household (Other)	17.3	19.3	+2.0	19.5	21.9	+2.4
Couple (all 65+)	8.6	8.0	-0.6	7.5	5.9	-1.6
Couple No Children	16.3	17.6	+1.3	14.4	14.8	+0.4
Couple With Children	25.9	26.0	+0.1	22.8	23.8	+1.0
Lone Parents	11.5	11.9	+0.4	10.6	11.1	+0.5
Students	0.0	0.1	0.1	2.2	4.0	+1.8
Other	3.8	3.5	-0.3	6.8	5.9	-0.9

Source: ONS Census data 2001 / 2011

3 THE ACTIVE MARKET

3.1 Introduction

- 3.1.1 This section provides an analysis of indicators of housing market activity to provide an understanding about changes in demand over time and to identify any pressure points within Gateshead & Newcastle.
- 3.1.2 Sources of data utilised are:-
- HM Land Registry Data 2010 – 2012 annual;
 - The Bank of England Industry Wide Figures;
 - The Council of Mortgage Lenders (CML);
 - 2012 DCA Estate Agency Survey data;
 - Hometrack Data.
- 3.1.3 Since 2007, the UK market has seen a crisis in economic terms starting with insecurity in the financial markets following the sub-prime mortgage crisis beginning in the American market. This led to a fall in house prices throughout the UK which has left recent purchasers, particularly first-time buyers and those on 100% mortgages with negative equity.
- 3.1.4 This information sets the context for the key issue of the affordability of housing in Gateshead & Newcastle, and in particular the analysis can be related to the problems experienced by low income households, evaluated through the 2010 survey data.

3.2 The Future Market Outlook

- 3.2.1 Hometrack have predicted that average UK house prices to fall by a further 3% in 2012 and remain flat into 2013, rising by 2% in 2014.
- 3.2.2 The outlook for the housing market is being driven by weak levels of demand, as slow economic growth impacts on (rising) unemployment and squeezes disposable household incomes.
- 3.2.3 The real growth story in the housing sector for 2012 is in the rental market where demand will remain strong. There is however a limit as to how high rents can go. Hometrack forecast that rental growth will slow in 2012 increasing by 1% to 2% outside London.
- 3.2.4 Given the pressure on household incomes it is surprising that rents should continue to rise and Hometrack's view is that the driver of rental growth is increased demand rather than the capacity of tenants to pay more out of existing incomes.
- 3.2.5 Hometrack's commentary is that rents are rising but the headlines are often misleading. The fact is that rents today are broadly in line with where they were four years ago. London is the stand out exception. Here rents, over the same period, are 14% higher. The sheer scale of demand in the capital has meant that rents have grown at an average rate of 5% per annum over the last two years, while elsewhere rental growth has averaged 1% to 2% per annum.

- 3.2.6 One central driver of rental growth has been higher levels of occupancy for private rented homes compared to the owner-occupier market. Over 50% of market rented homes in London are fully occupied compared to just a fifth in the owner-occupied sector.
- 3.2.7 This means that there are often multiple household incomes in a residence to help pay the rent - the luxury of having a spare room is a thing of the past for many tenants in London. Across the rest of the country occupancy levels for private rented homes are three times higher than for owner occupation.
- 3.2.8 The pressure on households unable to access outright home ownership shows little sign of improving in the medium term. The net result is that away from London tenants are paying a monthly rental premium of 5% to 10% over the cost of buying a property - the cost of not having sufficient equity to buy a home. In markets with high capital values, renting is still cheaper than buying but with high absolute rental values. In London the average rent of a two bedroom property is three times higher than that across the rest of the country.
- 3.2.9 Overall low interest rates will continue to support a struggling market but the overall outlook is for prices to fall, with rentals increasing. While the UK has moved back into economic growth and out of recession in the third quarter of 2012, the housing market will not see a sustainable recovery until there is sustained growth in the economy and in real household incomes.

3.3 Current Housing Supply and Turnover

- 3.3.1 Re-pricing older stock to a level where sales can take place has been a key trend over summer. As a result October saw a 9.2% increase in the number of sales agreed.
- 3.3.2 The time property is on the market has remained at a similar level in the past few months and currently stands at 9.9 weeks (October 2012). The average time taken to sell in Greater London is 5.4 weeks.
- 3.3.3 The proportion of the asking price achieved at national level has remained largely unchanged over the year tracking in the range of 92% - 93%. In Greater London the level is around 94.3% as at October 2012.

3.4 Current Prices

- 3.4.1 In September 2012, 6.0% of postcode Boroughs across the country registered a price increase, whereas 23.6% registered a decrease in price over the month.
- 3.4.2 Demand has fallen for the last four consecutive months with September registering the largest fall at -3.6%. Demand in September fell across all regions. This is in contrast to the start of the year when between February and May the number of people registering with agents rose by 25%.

3.5 Regional Picture

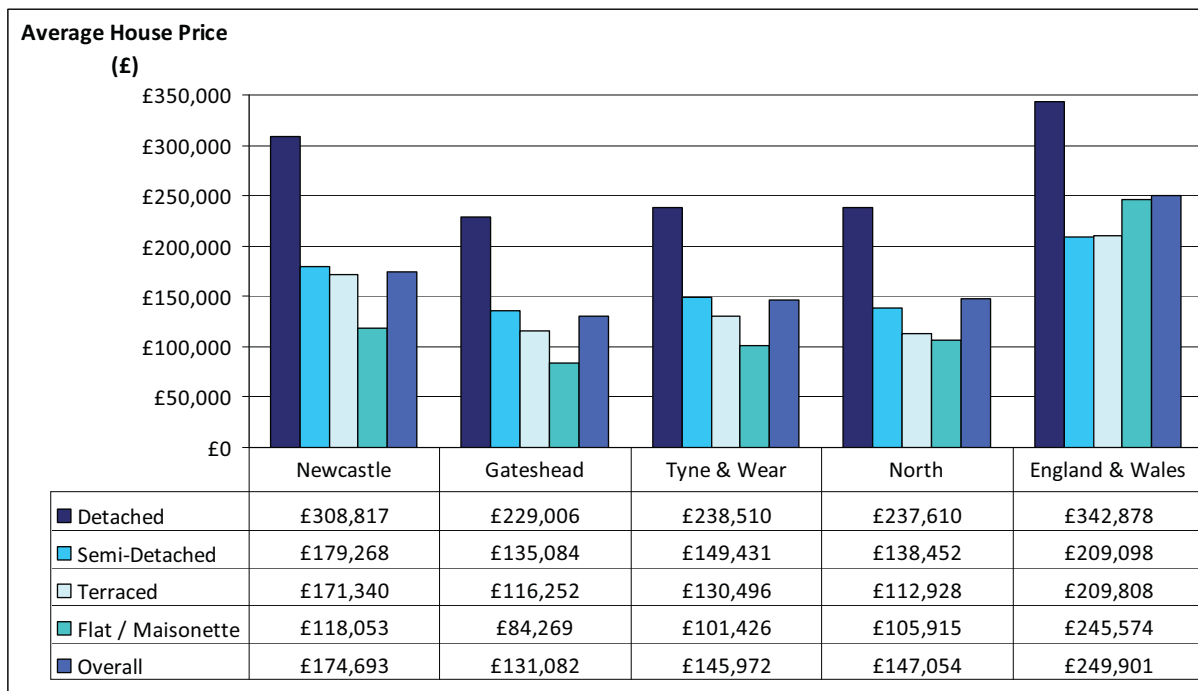
- 3.5.1 The Land Registry data for house prices in the North Region at the third quarter 2012 showed a decrease over the year from Q3 2011 of -4.2%.
- 3.5.2 Sales in the region over the same period fell by 12.8%, 8,812 sales in Q3 2012 compared with 7,683 in Q3 2011.

- 3.5.3 The highest level of sales in the region in Q3 2012 was for terraced properties (34.9%) followed by semi-detached properties (34.6%).

3.6 Average House Prices

- 3.6.1 The latest data on average house prices during the 3rd quarter of 2012 from Land Registry is summarised in Figure 3-1 below.

Figure 3-1 Average House Prices by Type, Q3 2012

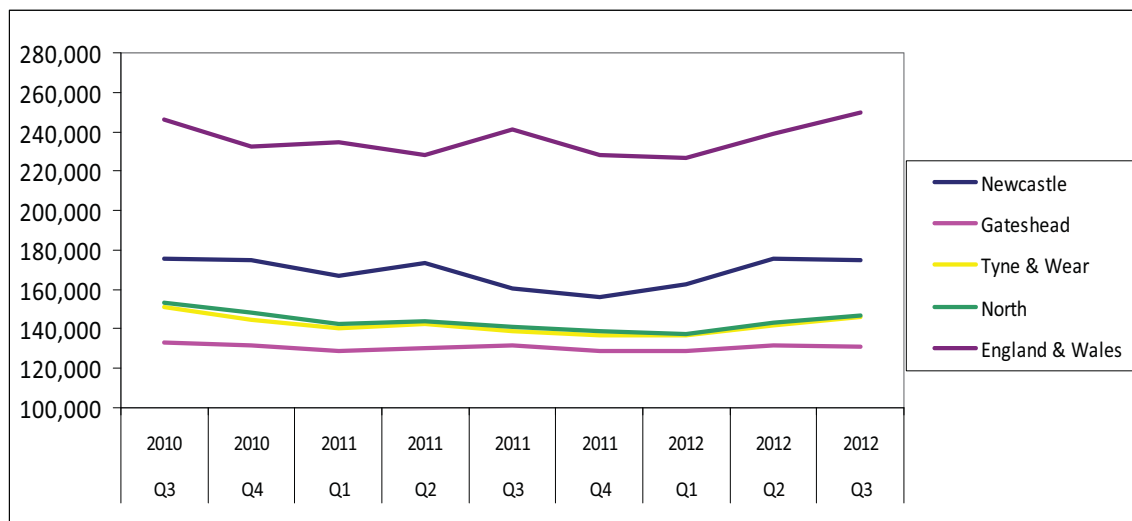


Source: Land Registry Residential Property Price Report, Quarter 3 2012 © Crown Copyright

- 3.6.2 The average property price in Newcastle is £174,693, higher than the average price in the County, (£145,972) North Region (£147,054) but lower than the national average (£249,901).
- 3.6.3 The average property price in Gateshead of £131,082 is the lowest across all the benchmark areas.
- 3.6.4 Detached property prices in Newcastle are the highest when compared to all the other benchmark areas.

- 3.6.5 The graph below examines average house prices for Gateshead & Newcastle and the other benchmark areas. The data used is the Land Registry at Q3 2012, compared with the average property prices at the time of the previous SHMA Report at Q3 2010.

Figure 3-2 2010 -2012 Average Property Price



Source: Land Registry Residential Property Price Report, Quarter 3 2010 & Quarter 3 2012, © Crown Copyright

- 3.6.6 Over the two year period Q3 2010 to Q3 2012, the average property price in Newcastle has fallen by 0.3% and in Gateshead by 1.3%.

3.7 Sales Transactions

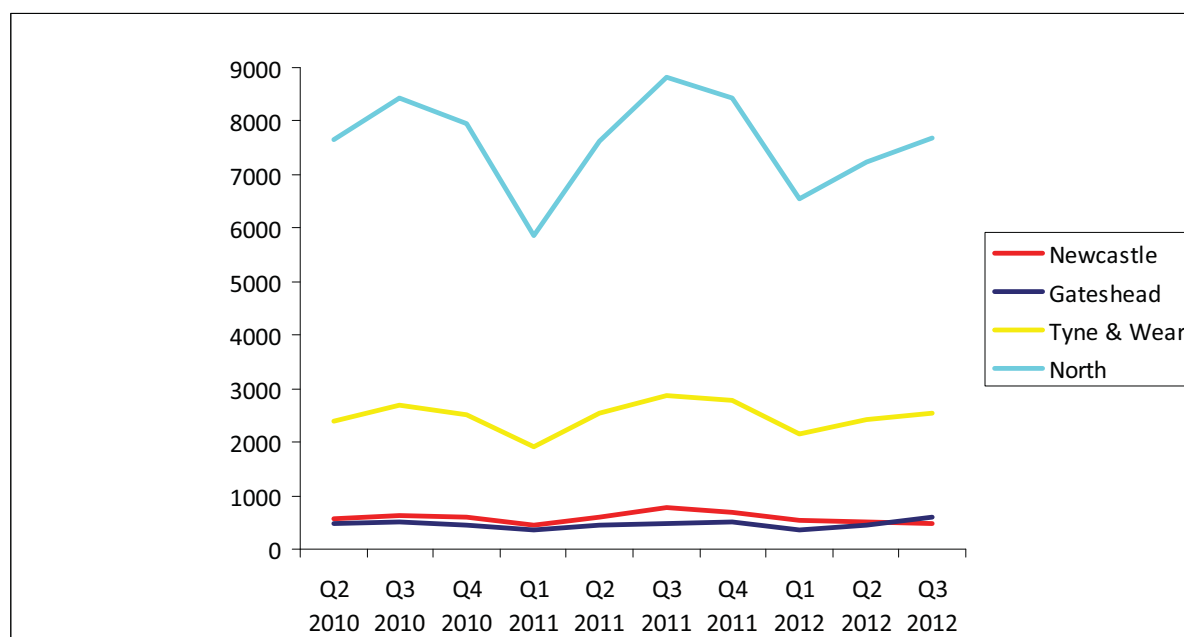
- 3.7.1 The table below shows the volume of sales of new and existing homes per quarter between Quarter 3 2010 and Quarter 3 2012.
- 3.7.2 Overall the volume of sales per quarter has declined in the two year period. Sales levels in the Newcastle area fell by 3.9% and in Gateshead by 6.5%. These are a lower fall when compared to the County (10.2%) which has fluctuated over the two years but overall remained at similar levels.
- 3.7.3 The Region has seen sales fall by 8.9% over the two year period.

Table 3-1 Absolute Trend in Sales Q3 2010 to Q3 2012

Area	Q3 2010	Q4 2010	Q1 2011	Q2 2011	Q3 2011	Q4 2011	Q1 2012	Q2 2012	Q3 2012
Newcastle	632	600	456	594	769	693	526	522	607
Gateshead	504	455	346	459	465	498	370	441	471
Tyne & Wear	2,682	2,507	1,910	2,536	2,882	2,772	2,157	2,407	2,536
North	8,438	7,962	5,846	7,620	8,812	8,425	6,548	7,222	7,683

Source: Land Registry, Quarter 3 2010 to Quarter 3 2012

- 3.7.4 The trend in the absolute sales volumes recorded between 2010 and 2012 is shown in the graph below. The data has been indexed to give a common starting point (Q2 2010 = 100).

Figure 3-3 Volume of Sales (2010 -2012)

Source: Land Registry Residential Property Price Report, Quarter 3 2010 to Quarter 3 2012,
© Crown Copyright

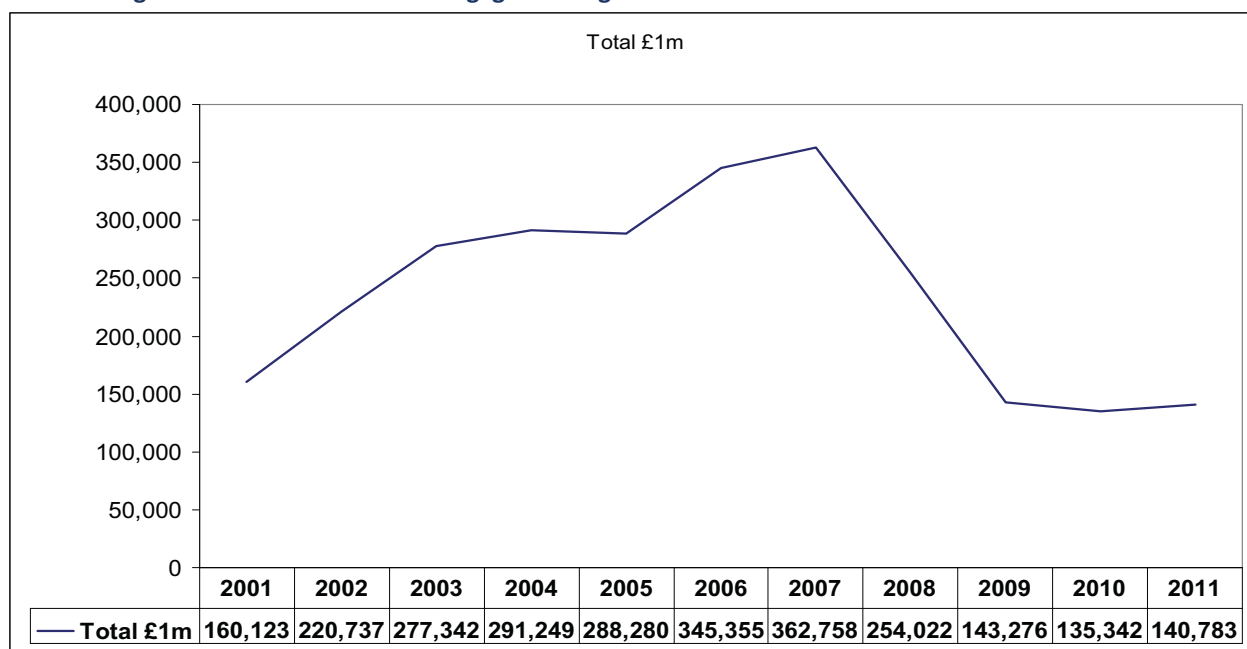
- 3.7.5 The data shows that the volume of sales per quarter in Newcastle and Gateshead compared to the County and Region. The Region and County areas fluctuated between Q3 2010 and Q3 2012.
- 3.7.6 In the County, there were signs of sales increasing gradually in the first 2 to 3 quarters of each year before falling again in the last quarter.
- 3.7.7 In Gateshead and Newcastle sales levels have fluctuated but generally stayed at a similar level across the 3 year period.

3.8 The UK Mortgage Market

- 3.8.1 The mortgage market has traded in a very narrow range for the last couple of years. During the summer months this year there were some signs of an underlying improvement in volumes of lending but the onset of the Euro crisis and disappointing UK economic growth figures have dampened any prospect of recovery.
- 3.8.2 House prices and transactions are expected to fall further in 2013. Assuming the economic picture improves by early 2013 this should allow some firming up in prices but actual volumes of sales are expected to remain low as lenders continue to focus on quality of the asset rather than volume growth in lending.
- 3.8.3 Gross mortgage lending is still forecast to decline to £132bn in 2012 before rising gradually back to more normal level by 2015/2016.
- 3.8.4 The Council of Mortgage Lenders' (CML) members are banks, building societies and other lenders who together undertake around 94% of all residential mortgage lending in the UK.
- 3.8.5 The CML forecasts for 2013-14 states "Activity levels in 2012 have been better than we expected, with better than expected mortgage credit availability and a relatively strong end to 2011 which persisted into the early months of 2012."

- 3.8.6 The Funding for Lending Scheme (FLS) is likely to be a key factor in influencing short-term market developments. The FLS appears to be making an early positive contribution to mortgage pricing and credit availability and the view is it will improve lending activity through 2013.
- 3.8.7 Whilst the central forecast is for a gentle underlying improvement in activity over the next two years, there are also key market risks which are predominantly on the downside. The biggest concern continues to be that of a disorderly break-up of the Eurozone, although the possibility of this seems to have reduced somewhat over the past year."
- 3.8.8 Gross mortgage lending in November 2012 was an estimated £12.9 billion, according to the Council of Mortgage Lenders. This represents a 0.8% rise from £12.8 billion in October but 3.9% lower than the total of £13.3 billion in November 2011.
- 3.8.9 The figure below shows the difference in gross mortgage lending over the past 11 years. Gross lending over the three years from 2009 to 2011 is still below the value of loans in 2001 when house prices were significantly lower.

Figure 3-4 Gross Mortgage Lending



Source: CML Research, Bank of England

- 3.8.10 The following table shows the details for house purchase loans and re-mortgage loans from October 2011 to October 2012.

Table 3-2 House purchase and re-mortgages, October 2011 – October 2012

	Number of house purchase loans	Value of house purchase loans £m	Number of re-mortgage loans	Value of re-mortgage loans £m
October 2012	49,500	7,300	26,900	3,500
Change from Sept. 2012	13.8%	10.6%	11.6%	9.4%
Change from October 2011	10.2%	10.6%	-13.8%	-10.3%

Source: CML October (Data released 12 December 2012)

- 3.8.11 The number of house purchase loans increased between October 2011 and October 2012 by 10.2%. The number of re-mortgage loans decreased by 13.8% between October 2011 and October 2012, but rose by 11.6% from the previous month (September 2012).
- 3.8.12 The small up-tick in re-mortgage lending suggests that the Funding for Lending scheme may be starting to have an early effect on re-mortgage lending, after subdued activity early in the year.
- 3.8.13 The scheme has the potential to boost re-mortgage lending activity more quickly than house purchase due to the longer lag time in buying a property.
- 3.8.14 The latest data on loans specifically to first-time buyers (FTB's) is outlined below.

Table 3-3 Loans to first-time buyers October 2011 – October 2012

	Number of loans	Value of loans £m	Average loan to value	Average income multiple	Proportion of income spent on interest payments	Proportion of income spent on capital and interest payments
October 2012	20,000	2,500	80%	3.23	13.5%	20.0%
Change from September 2012	14.3%	13.6%	80%	3.26	13.7%	20.0%
Change from October 2011	19.0%	19.0%	80%	3.23	12.2%	19.5%

Source: CML October (Data released 12 December 2012)

- 3.8.15 There were 20,000 loans advanced to first-time buyers in October 2012, a rise of 19.0% from October 2011, and an increase of 14.3% from the previous month (September 2012).
- 3.8.16 First-time buyers continued to favour properties priced between £125,000 and £250,000 in October, with 49% buying properties in this band. The percentage of income consumed by initial mortgage interest and capital repayments was unchanged at 20.0%, remaining more favourable than in 2007 when total capital and interest payments typically consumed closer to 25% of first-time buyer income.
- 3.8.17 The typical first time buyer in October 2012 had a deposit of 20% and they borrowed 3.23 times their income.
- 3.8.18 Some lenders are offering a 90% mortgage which have high arrangement fees in excess of £700, some as high as £1,500. The reality is the lower the deposit, the higher the interest rate.
- 3.8.19 Nationally the number of FTB's has fallen from 181,500 in the first 6 months of 2007 to 86,000 in the first half of 2011. The average FTB deposit in the first six months of 2011 was £27,719; this was more than double the average of £12,874 in 2001.
- 3.8.20 The average age of an FTB is 29. The CML estimate that 84% of FTB's under 30 had help with their deposit in 2010 compared with 38% in 2005. However for those without financial support from family CML data estimates that the average age has risen from 28 to 31 over the same period.

- 3.8.21 According to a new report commissioned by the Halifax more First Time Buyers are put off from applying for a mortgage through fear of rejection. 64% of non-homeowners believe they have no prospects whatsoever of buying a home therefore creating a generation of renters.
- 3.8.22 The report revealed wide spread pessimism about lenders and the mortgage application process with 84% of FTB's being put off by a belief that banks do not want to lend to them and find excuses to turn them down. 92% see it hard for FTB's to get a mortgage, with 60% seeing it as very hard or virtually impossible.
- 3.8.23 Purchases through Firstbuy are the major current means of enabling access to lending for FTB's for as long as the initiative can be sustained.

3.9 Sub-Area Breakdown

- 3.9.1 The same sub-areas as in the 2010 Assessment have been used to further analyse house prices and rental costs locally and are outlined below.

3.10 Entry Sales Levels

- 3.10.1 Entry to the market is clearly dependent on availability, a factor which is particularly critical for low income households who can only enter the market in any numbers where there is an adequate supply of affordable homes.
- 3.10.2 First-time buyers as new entrants to the housing market do not purchase houses at average prices as they do not have average incomes. Although average prices are useful for comparisons in general they are not the purchase levels used in assessing the ability of households to enter local markets.
- 3.10.3 In broad terms new purchasers of either flats or terraced properties buy in the lowest quartile of prices i.e. the bottom 25%, the level recommended in Guidance.
- 3.10.4 An internet search of the local estate agents was undertaken to ascertain the cost of the cheapest units available i.e. the lowest quartile stock costs in the sub-areas.

3.11 Gateshead Lower Quartile Sales

- 3.11.1 The entry level stock in the Borough is considered to be flats as they are the cheapest units with an adequate level of supply for sale to concealed households.

Table 3-4 Entry Sales Levels (£) in Gateshead – September 2012

	1 Bed Flat	2 Bed Flat	2 Bed Terraced	3 Bed Terraced	2 Bed Semi-Detached	3 Bed Semi-Detached
Gateshead West	47,500*	79,950	72,000	89,950	95,950	125,000
Gateshead Inner West	68,000	75,000	79,950	89,995	99,950	105,000
Gateshead South	74,950	95,000	79,950	99,950	89,950	144,950
Gateshead Central	59,950	69,950	80,000	110,000	85,000	114,000
Gateshead East	56,000	63,500	79,950	104,950	82,000	110,000
District-Wide	60,000	70,000	79,950	99,950	89,950	114,950

Source: DCA Housing Market Survey September 2012 -

*Caution Low Sample

- 3.11.2 Although the average price of flat / maisonette properties in Gateshead according to the Land Registry survey is £131,880, entry sales levels vary across the Borough.
- 3.11.3 The lowest entry prices, start at around £47,500 for a 1-bedroom flat in the West area, rising to £95,000 for a 2-bedroom flat / maisonette in the South.
- 3.11.4 Entry levels to terraced properties start at £72,000 in the West area rising to £80,000 in the Central area. 3-bedroom terraced properties start from £89,950 in the West area rising to £110,000 in the Central Area.

3.12 Newcastle Lower Quartile Sales

Table 3-5 Entry Sales Levels (£) in Newcastle – September 2012

	1 Bedroom Flat	2 Bedroom Flat	2 Bedroom Terraced	3 Bedroom Terraced	2 Bedroom Semi-Detached	3 Bedroom Semi-Detached
Newcastle North	63,000	75,000	85,000	90,000	83,996	115,000
Newcastle West	45,000	57,950	80,000	75,000	79,950	99,950
Newcastle East	87,500	69,000	74,950	159,950	84,950	124,950
City-Wide	67,950	65,000	80,000	90,000	83,996	115,000

Source: DCA Housing Market Survey September 2012 * Caution Low Sample

- 3.12.1 Although the average price of flat / maisonette properties in Newcastle according to the Land Registry survey is £118,000, entry sales levels vary across the City with the lowest entry prices, starting at around £45,000 for a 1-bedroom flat in the West area, rising to £75,000 for a 2-bedroom flat / maisonette in the North.
- 3.12.2 The entry sales level for terraced properties start at £74,950 in the East area rising to £85,000 in the North area. 3-bedroom terraced properties start from £75,000 in the West area rising to £159,950 in the East Area.

3.13 The Private Rented Sector

- 3.13.1 DCA undertook a survey of the main estate / letting agents in each area to gather data on the entry rent levels for each sub-area, set out below. Some property types had low levels of supply and the data should be treated with caution.

Table 3-6 Gateshead Average and Entry Rent Levels, September 2012 (£ p/m)

	Gateshead West		Gateshead Inner West		Gateshead South	
	Average	Entry	Average	Entry	Average	Entry
1-Bedroom Flat	395	**	475*	400*	463*	450*
2-Bedroom Flat	471	440	534	450	523	450
2-Bedroom Terraced	437	375	504	450	588*	525*
3-Bedroom Terraced	402	350	682	595	594	525
2-Bed Semi-detached	475	**	542	495	**	**
3-Bed Semi-detached	591	575	732*	650*	564	500
	Gateshead Central		Gateshead East		Borough Wide	
	Average	Entry	Average	Entry	Average	Entry
1-Bedroom Flat	439*	300*	367	325	411	375
2-Bedroom Flat	447	420	471	425	487	425
2-Bedroom Terraced	515*	425*	548	485	476	425
3-Bedroom Terraced	626*	575*	548	485	572	500
2-Bed Semi-detached	515*	495*	510	495	526	495
3-Bed Semi-detached	660*	540*	530	500	599	500

Source: DCA Housing Market Survey September 2012. ** No Data * Low level of data

- 3.13.2 Entry rental costs in the private rented sector vary by location within the Borough. Overall Borough-wide rents have remained constant since September 2008.
- 3.13.3 The private rented sector entry level rents start from £300 per month in the Central area, rising to £450 in the South area for a one bedroom flat, the smallest unit. A 2-bedroom flat ranges from £420 per month in the Central area rising to £450 in the South and Inner West areas.
- 3.13.4 In the case of 2-bedroom terraced houses, entry rent levels range from £375 per month in the West, rising to £525 in South Area. 3-bedroom terraced house rents start from £350 per month in the West area, rising to £595 in the Inner West area.

Table 3-7 Newcastle Average and Entry Rent Levels, September 2012 (£ p/m)

	Newcastle North		Newcastle West	
	Average	Entry	Average	Entry
1-Bedroom Flat	453	400	405	385
2-Bedroom Flat	723	475	495	450
2-Bedroom Terraced	688	550	520	**
3-Bedroom Terraced	643	525	592	525
2-Bed Semi-detached	582	550	552	500
3-Bed Semi-detached	741	600	640	550
	Newcastle East		City-Wide	
	Average	Entry	Average	Entry
1-Bedroom Flat	530	425	461	400
2-Bedroom Flat	593	500	605	475
2-Bedroom Terraced	555	475	600	495
3-Bedroom Terraced	715	650	637	525
2-Bed Semi-detached	494	450	558	525
3-Bed Semi-detached	675	625	690	600

** No Data

* Low level of data

Source: DCA Housing Market Survey September 2012

- 3.13.5 Entry rental costs in the private rented sector vary by location within the City. Overall City-wide rents have fallen by 16% since September 2010.
- 3.13.6 Entry level rents for a one bedroom flat, the smallest unit, start from £385 per month in the West area, rising to £425 in the East area. A 2-bedroom flat rent ranges from £450 per month in the West area to £500 in the East.
- 3.13.7 Entry rent levels of 2-bedroom terraced houses range from £475 per month in the East to £550 in the North Area. 3-bedroom terraced house rents start from £525 per month in the West area, rising to £650 in the East area.

3.14 Local Housing Allowance for Single People

- 3.14.1 The Local Housing Allowance (LHA) is a way of calculating Housing Benefit for people who live **in privately rented accommodation**. LHA is a flat rate allowance based on the size of the household (not the size of the property) and the area in which a person lives.
- 3.14.2 Until January 2012 a single person aged under 25 years, who does not have a dependant or a non-dependant person living with them, was entitled to the standard rate of Local Housing Allowance for a room in shared accommodation.
- 3.14.3 However since January 2012 the shared room rate restriction applies to single people aged under 35 years. Current exemptions, for example for those in receipt of severe disability premium and living in certain types of supported accommodation, will continue to apply.

- 3.14.4 On the other hand when considering housing needs the SHMA Practice Guidance 2007 states that we must include anyone over the age of 25 years sharing facilities. Therefore until new guidance is published anyone over the age of 25 years will be included in the calculation for future housing need.
- 3.14.5 The changes to the single allowance may have an impact on rent arrears when housing benefit is reduced to single people under 35 currently on housing benefit and living in self-contained accommodation.
- 3.14.6 The Councils should also consider the possible increased demand on shared accommodation and the possibility of under 35 year olds becoming homeless when they have to leave self-contained accommodation due to affordability issues.
- 3.14.7 Currently people renting from a council or other social housing providers are not affected by the Local Housing Allowance.

3.15 Affordable Rents

- 3.15.1 The Coalition Government decided in April 2011 to introduce Affordable Rents up to 80% of private sector rents for new social rented stock. This decision is to encourage registered Providers to be less reliant on grant aid for new build schemes and self-finance the schemes by charging a greater amount of rent.
- 3.15.2 However, the decision to introduce Affordable Rents at up to 80% of market value for new social rented stock effectively removes discounted market rent as an intermediate housing option as this was based on a similar principle of pitching rents between social and private sector levels.
- 3.15.3 Affordable Rent levels set can be up to 80% of the average private rented sector rent for each property size and this option has been given to allow housing providers to set it at an affordable level depending on the cost of PRS in their areas.
- 3.15.4 In areas where the private rented sector is very expensive, a registered provider may introduce affordable rents at 60% and 70% as the 80% level may be too expensive for local residents.

3.16 Gateshead Affordable Rents

- 3.16.1 When assessing properties for Affordable Rents we look at entry level properties for each bedroom size and these are normally flats, terraced or small semi-detached properties.
- 3.16.2 The table and graph below set out the LA, RP and private sector average rents and how much headroom exists to introduce them at 80%.

Table 3-8 Average Social Rent up to 80% of Average Private Sector Rent

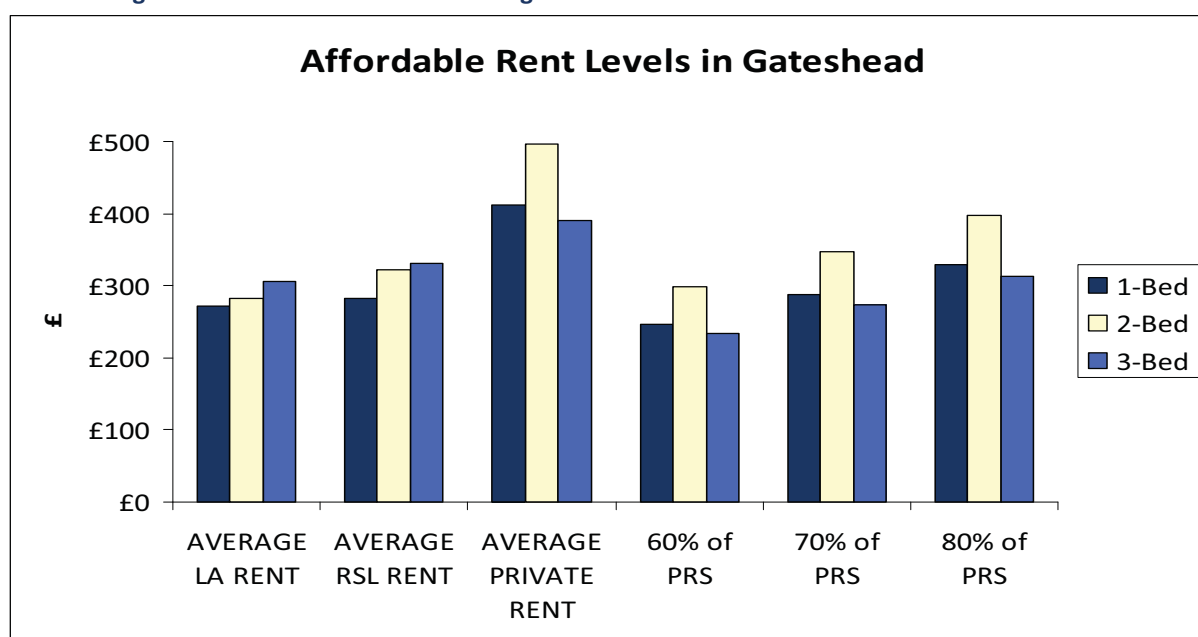
Gateshead	Average LA Rent	Average RP Rent	Average Private Rent	60% of PRS	70% of PRS	80% of PRS	Headroom at 80%
1-Bedroom	£271	£283	£411	£247	£288	£329	£ 46
2-Bedroom	£283	£322	£496	£298	£347	£397	£75
3-Bedroom	£305	£331	£390	£234	£273	£312	£ nil

Source: Rents from Tenant Services Authority, PRS Rightmove
 RP – Registered Provider, PRS - Private Rented Sector

- 3.16.3 The headroom between RP social rents and 80% of private rents is large enough to make the introduction of Affordable Rents a viable option in Gateshead for only 1 and 2 bedroom property sizes at 80% and then only marginally.
- 3.16.4 It should be noted that even though it may be viable for the housing providers to provide affordable rented properties this does not automatically mean that these will be affordable to residents.
- 3.16.5 On average 41.2% of concealed households forming cannot afford the 80% rent level based on their income. It should therefore be assumed that should this option be offered, this group would rely on housing benefit to help pay the rent.

Figure 3-5

Borough Affordable Rent Levels



- 3.16.6 **Appendix III** contains analysis of each sub-area showing the approximate level of Affordable Rents compared to the local private sector rents that could be applicable to each area.

3.17 Newcastle Affordable Rents

- 3.17.1 The table and graph below shows the levels for the City.

Table 3-9 Average Social Rent up to 80% of Average Private Sector Rent

Newcastle	Average LA Rent	Average RP Rent	Average Private Rent	60% of PRS	70% of PRS	80% of PRS	Headroom at 80%
1-Bedroom	£244	£283	£461	£277	£323	£369	£ 86
2-Bedroom	£291	£322	£587	£352	£411	£470	£ 148
3-Bedroom	£319	£331	£442	£265	£310	£354	£ 23

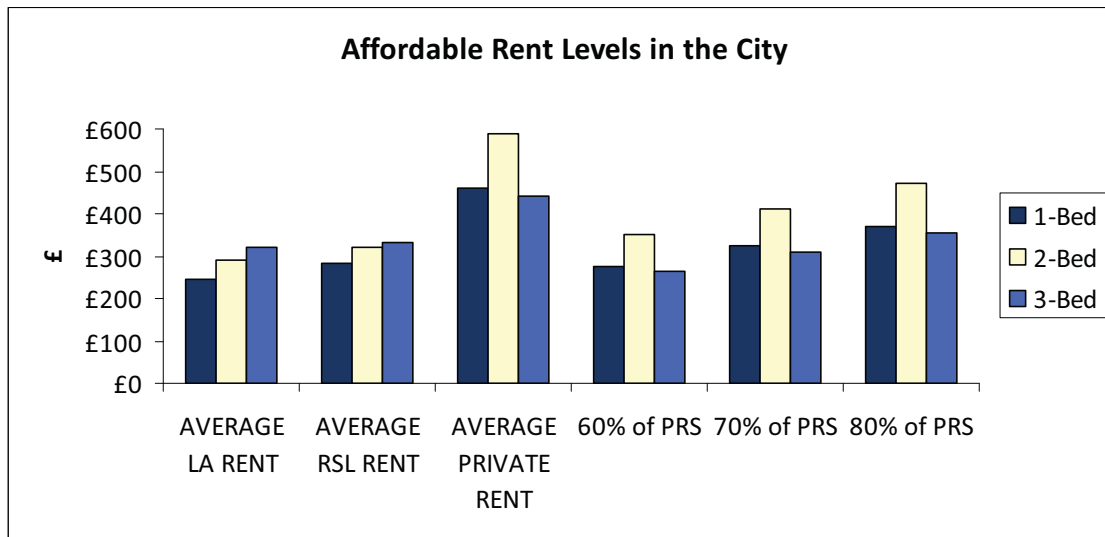
Source: Rents from Tenant Services Authority, PRS Rightmove

*Low Sample; RP – Registered Provider, PRS - Private Rented Sector

- 3.17.2 Private sector rents are higher in Newcastle than in Gateshead providing around double the level of headroom to introduce Affordable Rents for 1 and 2 bedroom properties at 70% and 80%. However there is only a marginal level for 3 bedroom properties.

Figure 3-6

City- wide Affordable Rent Levels



3.18 Welfare Reform for Housing Benefit

- 3.18.1 From April 2013 the Government will introduce a new 'size criteria' (bedroom tax) for tenants renting the social sector. If a claimant has a spare bedroom they will be regarded as 'under-occupying' and Housing Benefit will no longer pay for the additional room.
- 3.18.2 The new size criteria will only apply to working age households in any social sector housing. It does not apply to pensioner households who are specifically excluded from this legislation or those living in private rented accommodation as they are covered under new LHA regulations.
- 3.18.3 The cut will be a fixed percentage of the eligible rent. The number of bedrooms a working age household is deemed to require will be based on a couple or one adult aged 16+ for a 1 bedroom property.
- 3.18.4 The criteria for a 2 bedroom property is based on :-
- Two children aged 0-16 years of the same sex;
 - Any 2 children under the age of 10;
 - Any other child.
- 3.18.5 There will be discretionary help for disabled tenants who require an extra bedroom for an overnight carer and for those households with foster children. For any household deemed to have more bedrooms than they require their housing benefit will be reduced by:-
- 14% for 1 'extra' bedroom
 - 25% for 2 or more 'extra' bedrooms.

3.19 Gateshead Impact by Ward

Table 3-10 Breakdown of Gateshead Tenants affected by Size Criteria Welfare Reform

Ward	14% reduction	25% reduction	Total	% affected
Birtley	68	19	87	3.09
Blaydon	116	35	151	5.37
Bridges	155	31	186	6.61
Chopwell and Rowlands Gill	76	30	106	3.77
Chowdene	161	24	185	6.58
Crawcrook and Greenside	23	6	29	1.03
Deckham	100	28	128	4.55
Dunston and Teams	227	17	244	8.68
Dunston Hill / Whickham East	31	11	42	1.49
Felling	263	65	328	11.66
High Fell	296	88	384	13.66
Lamesley	108	26	134	4.77
Lobley Hill and Bensham	133	22	155	5.51
Low Fell	7	3	10	0.36
Pelaw and Heworth	87	23	110	3.91
Ryton Crookhill and Stella	51	12	63	2.24
Saltwell	26	5	31	1.10
Wardley and Leam Lane	74	14	88	3.13
Whickham North	53	16	69	2.45
Whickham South / Sunnyside	23	8	31	1.10
Windy Nook and Whitehills	139	39	178	6.33
Winlaton and High Spen	55	18	73	2.60
TOTAL	2,272	540	2,812	100.0

Note : 14% reduction - Tenants with 1 'spare' bedroom:
25% reduction - Tenants with 2 or more 'spare' bedrooms

- 3.19.1 By ward, the areas affected most in Gateshead are High Fell and Felling, however these areas also reflect higher stock levels than other areas.

Table 3-11 Breakdown of Tenants affected by Property Type

Tenants affected by Property Type	14%	25%	Total	% of all affected
Bungalow	113	7	120	4.3
Flat	805	30	835	29.7
House	1,308	479	1,787	63.6
Maisonette	45	24	69	2.5
Sheltered Flat	1	0	1	0.04
TOTAL	2,272	540	2,812	100.0

- 3.19.2 The majority of Gateshead tenants affected by the benefit changes are those living in houses at 63.6%, followed by flats at 29.7%.

Table 3-12 Breakdown of Tenants affected by Bedroom Entitlement

Bedroom entitlement of tenants affected by size criteria rules	14%	25%	Total	% of all affected
Entitled to 1 bedroom	1,505	514	2,019	71.80
Entitled to 2 bedrooms	702	26	728	25.89
Entitled to 3 bedrooms	64	0	64	2.28
Entitled to 4 bedrooms	1	0	1	0.04
TOTAL	2,272	540	2,812	100.0

- 3.19.3 The main category affected is those now only entitled to 1 bedroom.

Table 3-13 Breakdown of Tenants affected by Age of Tenant

Age of tenant	14%	25%	Total	% of all affected
16 - 24 years	120	6	126	4.48
25 - 39 years	621	45	666	23.68
40 - 49 years	667	156	823	29.27
50 - 59 years	785	313	1,098	39.05
60 + years	79	20	99	3.52
TOTAL	2,272	540	2,812	100.0

- 3.19.4 The main age group affected by the benefit changes are the 50 to 59 age group (39%), reflecting long-term tenants where children have now grown up and left home. A significant proportion of the younger age groups from 25 upwards are also affected.

3.20 Newcastle Welfare Reform Impact

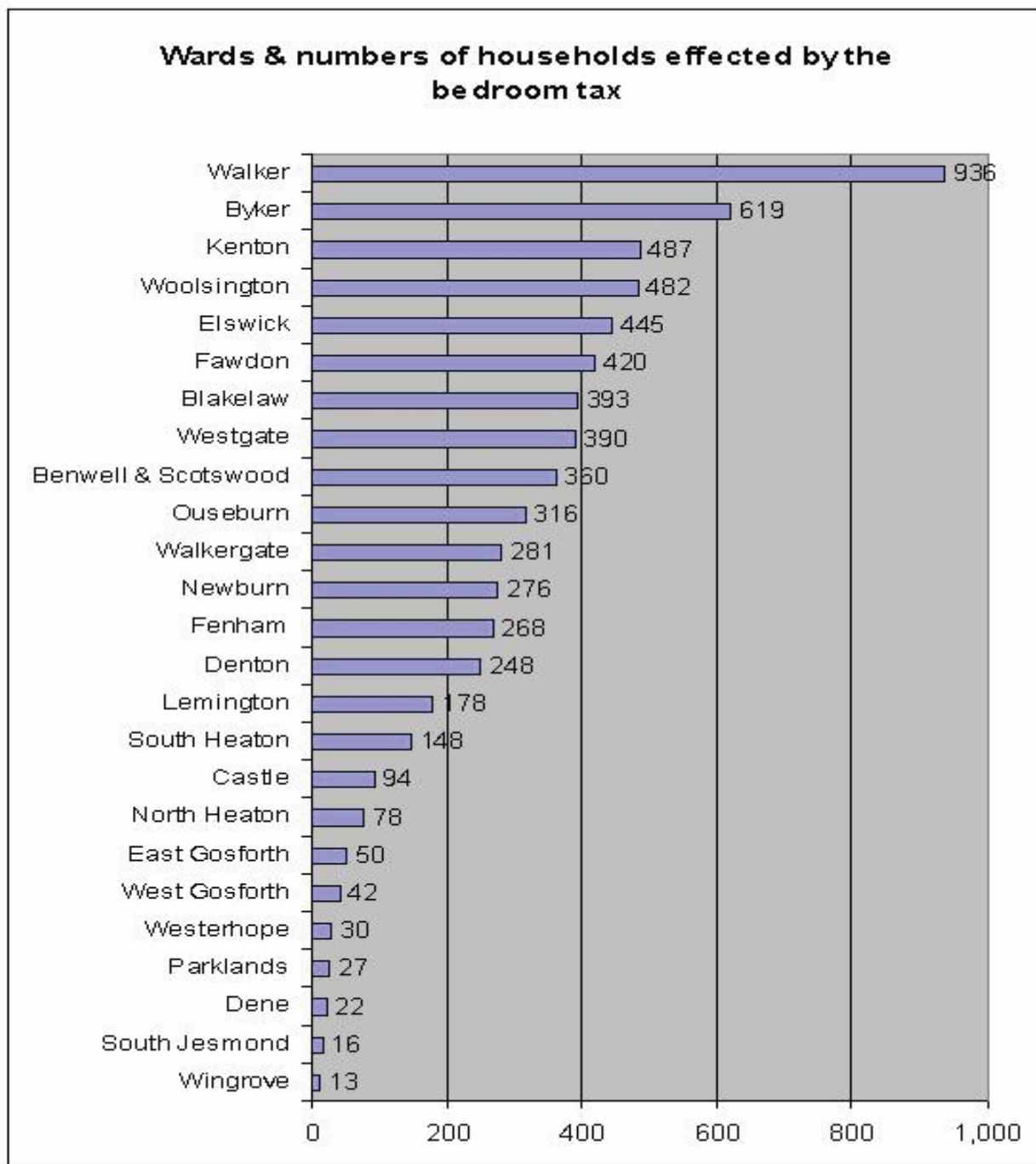
- 3.20.1 Newcastle City Council Housing Department conducted a detailed analysis of the impact of the welfare reform proposals which is re-produced in this Report.
- 3.20.2 The reduction on the eligible rent will on average mean a £12 and £22 per week loss of housing benefit for tenants respectively. To counter this, claimants will have to make up the shortfall from their own income, come off benefits via paid employment, or find smaller cheaper accommodation.
- 3.20.3 The analysis in Newcastle of under-occupation of working age Housing Benefit claimants in early 2013 shows there to be 6,300 households within Your Homes Newcastle (YHN), Byker Trust and Leazes Homes managed properties affected by the new rule change post April 2013. The biggest numbers are in properties managed by YHN. Modelling by YHN shows a potential loss to the Housing Revenue Account (HRA) in 2013/14 of £3.8m due to the bedroom tax.

- 3.20.4 Due to this new rule effectively being a tax on spare bedrooms for those living in social housing it is therefore undeniable that some wards will be impacted more than others - especially those areas with concentrations of council owned homes.
- 3.20.5 The wards impacted most are Walker and Byker: with the wards of Wingrove and South Jesmond least effected.

3.21 Newcastle Impact by Ward

- 3.21.1 The following list in order the number of households by ward impacted by the bedroom tax post April 1st 2013.

Table 3-14 Breakdown of Newcastle Tenants affected by Size Criteria Welfare Reform



3.21.2 Whilst a reduction in income will be difficult for most households to manage it is apparent that some households will find it easier to pay than others. Single person households on a straightforward out of work benefit like JSA (particularly if under 25) will face the most difficulty. Of those visited up to the end of March:-

- 1,500 would consider re-housing or a mutual exchange (some of these would consider either option);
- 950 would like help with advice and support;
- 463 would like help with opening a bank account 3;
- 320 would like help with employment.

3.21.3 The table below shows the number of households under-occupying and by the number of bedrooms.

Table x. Total of the number of bedrooms under-occupied

No. of bedrooms under-occupied	YHN	Byker Trust	Leazes Homes	Totals
1 bedroom	4,844	284	40	5,168
2 bedrooms	1,035	52	3	1,090
3 bedrooms	34	3	-	37
4 bedrooms	3	-	-	3
5 bedrooms	1	-	-	1
Total	5,917	339	43	6,299

Source: YHN.

3.21.4 Finding suitable sized accommodation for YHN tenants unable to pay the financial penalty of the bedroom tax is a mammoth if not an unrealistic task given the current YHN stock profile and turnover. From the above statistics we know that of those under-occupying some 3,531 are in need of a one bed property to meet their housing needs based on the new rules post April 2013; with 3,361 of these being current YHN tenants.

3.21.5 Based on current turnover statistics it would take nearly 7 years to deal with those who currently under-occupy and in need of a 1 bed home. This figure does not take account of the 3,000 or so on the housing register (waiting list April 2013) who require a one bed property to meet their housing need.

3.21.6 What this analysis provides is a flavour of current and future need/demand for housing by bedroom size brought on by welfare reform. It shows that for YHN some 21% of households will be affected by the bedroom tax.

3.21.7 If we were to replicate this for the 7,500 RP (housing association) properties in the City, then it would be reasonable to estimate that this will add a further 1,500 or so households impacted by the under-occupation penalty.

3.22 Intermediate Housing Costs

- 3.22.1 The Intermediate Housing definition in the NPPF is “homes for sale and rent provided at a cost above social rent, but below market levels subject to the criteria in the Affordable Housing definition. These can include shared equity (shared ownership and equity loans), other low cost homes for sale and intermediate rent, but not affordable rented housing.”
- 3.22.2 New Intermediate housing units are bought almost equally by existing households moving from private rented accommodation and those new forming households with incomes inadequate to buy outright.
- 3.22.3 As house prices have reduced it is important to assess whether households could gain access to the housing they require with minimum levels of subsidy compared to that of social rent.
- 3.22.4 This is also important in relation to the provision of a more balanced housing market. We have therefore analysed the cost of provision of intermediate housing in the area and assessed the proportion of households who may be able to be assisted by new provision of this type.
- 3.22.5 We looked at data from the Zone Agents (ISOS) for the Tyne and Wear, but few schemes were available. Examination of available re-sales and new build and the website provided very little information on the schemes available.

Table 3-15 Shared Ownership Costs

	Property Type	Full Sale Price £	Share Price £
Newcastle	1 bedroom Flat (re-sale)	53,900	26,950 (50%)
	3-bedroom house (New Build)	189,000	94,500 (50%)

4 HOUSING COSTS AND INCOME

4.1 Introduction

- 4.1.1 The ability of a household to satisfy its own housing requirement is fundamentally a factor of the relationship between local house prices and household income. This section of the report assesses the income levels required to access the cheapest units available in reasonable supply from the research and the change in incomes from the 2010 Assessment.
- 4.1.2 The cheapest entry levels (lowest quartile) of the smallest units were assessed to enable threshold income levels to be calculated. These are based on 95% loan to value (LTV) mortgage availability and a 3.5 x gross income lending ratio for single earner households and 2.9 x gross household income for dual income households, the levels recommended in the 2007 Strategic Housing Market Assessments Practice Guidance (page 42).
- 4.1.3 In practice, lending ratios are now much lower with no 95% (LTV) mortgages available in the market, a situation expected to continue for some time. With the majority of mortgage lenders offering only 75 - 85% (LTV), buyers may have an income to support the mortgage but do not have a 15 to 25% deposit.
- 4.1.4 The following tables below outline the income ranges needed to enter the market in the 5 sub-areas for single and dual households using the Guidance recommended lending ratios of 95% LTV.

4.2 Gateshead Purchase Income Thresholds

Table 4-1 Gateshead Single Income Thresholds – September 2012

Area	Income Thresholds (£)		
	1 bedroom Flat	2 bedroom Flat	2 bedroom Terraced
Gateshead West	12,900*	21,700	19,500
Gateshead Inner West	18,500	20,400	21,700
Gateshead South	20,300	25,800	21,700
Gateshead Central	16,300	19,000	21,700
Gateshead East	15,200	17,200	21,700

Source: DCA Housing Market Survey September 2012, **No Data Available, *Low Data

- 4.2.1 According to the data collated from the house price survey, entry level prices for 1 bedroom flats require a single income of £15,200 (there is entry level found as low as £12,900 but these are based on a low sample). Entry income levels for 2-bedroom flats start at £17,200 in Gateshead East and rise to £25,800 in Gateshead South.
- 4.2.2 The income needed to buy the entry level terraced properties are quite similar across the District with the lowest entry prices for a 2-bedroom terraced property, starting at around £19,500 in Gateshead West rising to £21,700 in the other sub-areas.

Table 4-2 Gateshead Joint Income Thresholds September 2011

Area	Income Thresholds (£)		
	1 bedroom Flat	2 bedroom Flat	2 bedroom Terraced
Gateshead West	15,600*	26,200	23,600
Gateshead Inner West	22,300	24,600	26,200
Gateshead South	24,600	31,100	26,200
Gateshead Central	19,600	22,900	26,200
Gateshead East	18,300	20,800	26,200

Source: DCA Housing Market Survey September 2012, **No Data Available, *Low Data

- 4.2.3 42.4% of single income concealed households earn below the entry level requirement of £15,200 and 57% of joint income concealed households earn below the entry level requirement of £18,300 for a 1 bedroom flat in the Borough (again lower prices were found in the West but are based on a low sample). The ability of single income concealed households to access the market within the Borough in 2012 is limited.
- 4.2.4 These levels are therefore theoretical as mortgage lending to first time buyers is generally still at a level of around 75% - 85% unless a large booking fee is payable where some borrowing can be obtained at 90%. The key problem of affordability now focuses on the availability of a larger deposit rather than income levels and lending multipliers.
- 4.2.5 On average a deposit of around £14,000 to £15,875 would be required to buy one and two bedroom flats and £18,000 to £22,500 for two and three bedroom terraced houses in the current local market (based on a 25% deposit).
- 4.2.6 The data from the 2010 survey shows that 40.9% would not be able to raise any deposit and a further 10.5% of concealed households have savings of less than £2,500. 22.9% have between £10,000 and £25,000 savings.
- 4.2.7 Only 7.6% had in excess of £15,000 and on the basis of savings levels around 92.4% of concealed households will not be able to afford a deposit of around £14,000 for a one bedroom flat.

4.3 Newcastle Purchase Income Thresholds

Table 4-3 Newcastle Single Income Thresholds – September 2012

Area	Income Thresholds (£)		
	1 bedroom Flat	2 bedroom Flat	2 bedroom Terraced
Newcastle North	17,100	20,400	23,100
Newcastle West	12,200	15,700	21,700
Newcastle East	23,800	18,700	20,300

Source: DCA Housing Market Survey September 2012, **No Data Available, *Low Data

- 4.3.1 According to the data collated from the house price survey, entry level prices for 1 bedroom flats require a single income of £12,200. Entry income levels for 2-bedroom flats start at £15,700 in Newcastle West and rise to £20,400 in Newcastle North.
- 4.3.2 The income needed to buy the entry level terraced properties are quite similar across the City with the lowest entry prices for a 2-bedroom terraced property, starting at around £20,300 in Newcastle East rising to £23,100 in the North.

Table 4-4 Newcastle Joint Income Thresholds September 2011

Area	Income Thresholds (£)		
	1 bedroom Flat	2 bedroom Flat	2 bedroom Terraced
Newcastle North	20,600	24,600	27,800
Newcastle West	14,700	19,000	26,200
Newcastle East	28,700	22,600	24,600

Source: DCA Housing Market Survey September 2012, **No Data Available, *Low Data

- 4.3.3 24% of single income concealed households earn below the entry level requirement of £12,200 and 33.5% of joint income concealed households earn below the entry level requirement of £14,700 for a 1 bedroom flat in the West of the City. The ability of single income concealed households to access the market within the District in 2013 is limited.
- 4.3.4 These levels are therefore theoretical as mortgage lending to first time buyers is generally still at a level of around 75 - 85% unless a large booking fee is payable where some borrowing can be obtained at 90%. The key problem of affordability now focuses on the availability of a larger deposit rather than income levels and lending multipliers. The median deposit for first time buyers is 20% at a loan to income ratio of 3.2.
- 4.3.5 On average a deposit of around £11,250 to £14,500 would be required to buy one and two bedroom flats and £18,750 for two and three bedroom terraced houses in the current local market (based on a 25% deposit).
- 4.3.6 The data from the survey shows that 61.9% could not afford to raise a deposit and a further 6.5% of concealed households have savings of less than £2,500. 16.8% have between £15,000 and £25,000 savings.
- 4.3.7 25.2% had in excess of £10,000 and on the basis of savings levels around 74.8% of concealed households will not be able to afford a deposit of around £11,250 for a one bedroom flat.

4.4 Gateshead Rental Income Thresholds

- 4.4.1 The cheapest rental prices of the smallest units in the Borough were assessed in order to calculate the rental income threshold levels. These are based on the Guidance recommended ratio for private rent at 25% of gross income (equivalent to 30% of net income). Table 4-5 below shows the income levels needed to access the private rented market in Gateshead.

Table 4-5 Single Rental Income Thresholds – September 2012

	Income Thresholds (£)		
	1 bedroom Flat	2 bedroom Flat	2 bedroom Terrace
Gateshead West	**	21,100	18,000
Gateshead Inner West	19,200*	21,600	21,600
Gateshead South	21,600*	21,600	25,200*
Gateshead Central	14,400*	20,200	20,400*
Gateshead East	15,600	20,400	23,300

Source: DCA House Price Survey September 2012, ** No data found, * Low Level of Data

Note: Figures rounded to nearest hundred

- 4.4.2 The cheapest property in the Borough to rent is in the Gateshead Central, the cheapest area and requires an income threshold of £14,400, for a 1- bedroom flat.
- 4.4.3 To rent a two bedroom flat requires an income of £20,200 in Gateshead Central and for a two bedroom terraced property requires an income of £18,000 in the West area.
- 4.4.4 On average 40.5% of single income concealed households earn below the level required to rent the cheapest property in the Central area of Gateshead (£14,400). Therefore based on this figure and those who cannot afford to buy (42.4%) of new entrants to the market are more likely to go for private rent.
- 4.4.5 NPPF Guidance for eligibility to access subsidised affordable housing is an inability to buy or rent in the private market, without assistance.
- 4.4.6 Ultimately, because housing costs in the private rented sector are lower this virtually always means that the incomes required to rent rather than buy are used in the Assessment Model.
- 4.4.7 The inability to rent in the private sector without assistance is therefore the basis of the calculation of those requiring affordable housing in section 8.

4.5 Newcastle Rental Income Thresholds

- 4.5.1 The cheapest rental prices of the smallest units in the City were assessed in order to calculate the rental income threshold levels. These are also based on the Guidance recommended ratio for private rent. Table 4-6 below shows the income levels needed to access the private rented market in Newcastle.

Table 4-6 Newcastle Single Rental Income Thresholds – September 2012

	Income Thresholds (£)		
	1 bedroom Flat	2 bedroom Flat	2 bedroom Terrace
Newcastle North	19,200	22,800	26,400
Newcastle West	18,500	21,600	**
Newcastle East	20,400	24,000	22,800

Source: DCA House Price Survey September 2012, ** No data found, * Low Level of Data

Note: Figures rounded to nearest hundred

- 4.5.2 The cheapest property in the City to rent is in the North and requires an income threshold of £19,200, for a 1-bedroom flat.
- 4.5.3 To rent a two bedroom flat requires an income of £21,600 in the West of the City and for a two bedroom terraced property requires an income of £22,800 in the East area.
- 4.5.4 On average 50.8% of single income concealed households earn below the level required to rent the cheapest property in the West (£18,500). Therefore based on this figure and those who cannot afford to buy (24%), new entrants to the market are more likely to go for purchase if a mortgage can be secured.
- 4.5.5 SHMA Guidance for eligibility to access subsidised affordable housing is an inability to buy or rent in the private market, without assistance.
- 4.5.6 Ultimately, because housing costs in the private rented sector are normally lower, the incomes required to rent rather than buy are used in the Assessment Model.

4.6 Annual Survey of Hours and Earnings

- 4.6.1 Income data is always difficult to gather at local level. The 2011 Annual Survey of Hours and Earnings (ASHE) has been used, prepared by the Office for National Statistics. This provides data at County and Authority-wide level of full-time employees of adult rates who have been in the same job for more than a year.
- 4.6.2 The 2011 ASHE data shows a median income of £23,765 for Newcastle, a 7.0% increase on the 2010 ASHE figure of £22,215.
- 4.6.3 Analysis has also been undertaken of the income levels of local households, to assess the proportion of people now able to access market housing. This has been based on the updated house price information detailed in Section 3.

- 4.6.4 The table below highlights the incomes of existing households from the 2010 Study and most up to date figures available for incomes.

Table 4-7 Incomes of Existing Newcastle Households 2010 & 2011

Annual Income 2010*	Annual Income 2011**	%
Below £10,000	Below £10,700	31.5
£10,000 - £20,000	£10,701 - £21,400	27.5
£20,001 - £27,000	£21,401 - £28,890	11.7
£27,001 - £45,000	£28,891 - £48,150	15.3
£45,001 - £60,000	£48,151 - £64,200	7.2
£60,001 - £75,000	£64,201 - £80,250	2.9
£75,001 - £100,000	£80,251 - £107,000	2.5
Above £100,000	Above £107,000	1.4
Total		

Source: * 2010 HNS ** 2010 survey data reworked to ASHE 2011

- 4.6.5 31.5% of existing households earn less than £10,700, with 14% earning over £48,150.
- 4.6.6 The 2011 ASHE data shows a median income of £23,769 for Gateshead, a 5.4% increase on the 2010 ASHE figure of £22,552.

Table 4-8 Incomes of Existing Gateshead Households 2010 & 2011

Annual Income 2010*	Annual Income 2011**	%
Below £10,000	Below £10,540	31.2
£10,000 - £20,000	£10,541 - £21,080	25.4
£20,001 - £27,000	£21,081 - £28,458	10.6
£27,001 - £45,000	£28,459 - £47,430	20.6
£45,001 - £60,000	£47,431 - £63,240	7.2
£60,001 - £75,000	£63,241 - £79,050	2.9
£75,001 - £100,000	£79,051 - £105,400	1.4
Above £100,000	Above £105,400	0.7

Source: * 2010 HNS ** 2010 survey data reworked to ASHE 2011

- 4.6.7 The table below highlights the 2010 and 2011 incomes of concealed households from the 2010 Study.
- 4.6.8 As with the existing households, the 2010 income bands have an income inflation of 7% for Newcastle and 5.4% for Gateshead applied to determine the most up to date figures available for incomes.

Table 4-9 Incomes of Concealed Newcastle Households 2010 & 2011

Annual Income 2010*	Annual Income 2011**	%
Below £10,000	Below £10,700	18.3
£10,001 - £20,000	£10,701 - £21,400	40.9
£20,001 - £27,000	£21,401 - £28,890	8.8
£27,001 - £45,000	£28,891 - £48,150	22.2
Above £45,000	Above £48,150	9.8
Total		100.0

Source: * 2010 HNS ** 2010 survey data reworked to ASHE 2011

- 4.6.9 18.3% of concealed households in Newcastle earn less than £10,700 compared to 35.7% in Gateshead earning less than £10,540. 32% of concealed households in Newcastle earn more than £28,891 per annum, compared to only 8.7% of Gateshead households earning more than £28,459.
- 4.6.10 The following table outlines the incomes required by concealed households in Newcastle to access owner occupation based on the lowest and highest purchase single income thresholds across the City for 1 and 2-bedroom flats properties and 2-bedroom terraced properties.
- 4.6.11 Overall the calculation of the proportion of concealed households in Newcastle unable to access the private sector takes account of those who need one and two bedroom housing in the lowest quartile cost stock across the City.

Table 4-10 Newcastle Concealed Households – Incomes needed and % Unable to Buy

Type of Property	Income Required	% unable to buy
1 bedroom Flat	21,300	59.2
2 bedroom Terraced House	26,200	65.4

- 4.6.12 Note : (Single Income)
- 4.6.13 Using the income requirements from Table 4-9 (single income), **59.2%** of concealed households are unable to buy 1-bedroom flat in the City and **65.4%** are unable to buy a lower quartile 2 bedroom terraced house.
- 4.6.14 Private Rental Sector
- 4.6.15 The table below outlines the income required by concealed households to access the private rental market based on the lowest and highest rental income thresholds across the City for 1 and 2 bedroom flats and terraced properties, as illustrated in Table 4-6 and Table 4-9.

Table 4-11 Newcastle Concealed Households – Incomes Needed and % Unable to Rent

Type of Property	Annual Income Required	% Unable to rent
1-bedroom Flat	19,400	51.6
2-bedroom Terraced House	24,600	63.0

- 4.6.16 The data shows that 50.8% of concealed households cannot afford to rent a one bedroom flat in the City.
- 4.6.17 59.4% are excluded from renting a 2-bedroom flat and 60.8% of concealed households are excluded from the cheapest 2-bedroom terraced house in the City.

Table 4-12 Incomes of Concealed Gateshead Households 2010 & 2011

Annual Income 2010*	Annual Income 2011**	%
Below £10,000	Below £10,540	35.7
£10,001 - £20,000	£10,541 - £21,080	28.9
£20,001 - £27,000	£21,081 - £28,458	26.7
£27,001 - £45,000	£28,459 - £47,430	0.0
Above £45,000	Above £47,430	8.7
Total		100.0

Source: * 2010 HNS ** 2010 survey data reworked to ASHE 2011

4.6.18 The following table outlines the incomes required by concealed households to access owner occupation based on the lowest and highest purchase single income thresholds across the Borough for 1 and 2 bedroom flats and 2 bedroom terraced properties.

4.6.19 Overall the calculation of the proportion of concealed households unable to access the private sector takes account of those who need one and two bedroom housing in the lowest quartile cost stock across the Borough.

Table 4-13 Gateshead Concealed Households – Incomes Needed and % Unable to Buy

Type of Property	Income Required	unable to buy %
1-bedroom Flat	£17,700	42.4
2-bedroom Flat	£17,200	53.9
2-bedroom Terraced House	£21,700	66.8

Note : (Single Income)

4.6.20 Using the income requirements from Table 4-1 (single income) and Table 4-8, shows that 42.4% of concealed households are unable to buy the cheapest 1-bedroom flat in the Borough and 53.9% are unable to buy the cheapest 2 bedroom flat.

4.6.21 66.8% of concealed households in the Borough were unable to buy the cheapest 2-bedroom terraced house.

4.6.22 The table below outlines the income required by concealed households to access the private rental market based on the lowest and highest rental income thresholds across the Borough for 1 and 2 bedroom flats and terraced properties, as illustrated in Table 4-6 and Table 4-9.

Table 4-14 Gateshead Concealed Households – Incomes Needed and % Unable to Rent

Type of Property	Annual Income Required	% Unable to rent
1-bedroom Flat	£17,700	55.0
2-bedroom Flat	£21,000	64.6
2-bedroom Terraced House	£21,700	67.2

4.6.23 The data shows that across the Borough, **55%** of concealed households cannot afford to rent a 1-bedroom flat.

4.6.24 64.6% cannot rent a 2-bedroom flat and **67.2%** of concealed households cannot afford to rent a 2-bedroom terraced house in the Borough.

5 POPULATION GROWTH & HOUSEHOLD PROJECTIONS

5.1 Introduction

- 5.1.1 Analysis of changes in population and household profiles are essential in enabling an understanding of the level of housing need and demand within an area. Monitoring population and household projections allow the council to see if any significant changes are occurring that could affect the local housing market.
- 5.1.2 Demographic change creates the need for different levels and types of housing provision and is a key factor influencing the requirements for market and affordable housing. Migration can be an important factor in demographic structure.
- 5.1.3 There are four basic components to changes in the number and composition of households. The aim of this section of the report is to highlight the issues which are relevant to the evaluation of housing needs in the area, particularly the changes in:-
- The age distribution of the population arising from births, deaths and ageing of the indigenous population;
 - Family units such as marriage, divorce and child bearing patterns;
 - The number and composition of households arising from migration, particularly due to employment opportunities in the area;
 - The probabilities that family units form a separate household, particularly in response to changes in incomes in the labour market area.
- 5.1.4 In local area forecasting new household formation is mainly due to responses to income and employment opportunities. However, new household formation is also affected by life cycle patterns and this demographic influence contributes to about 40% of the growth in the number of new households at any one time (Dicks, 1988; Ermisch, 1985).
- 5.1.5 The factors which combine to produce the population and household projections are:- age-sex structures (including those of migrants) headship rates, survival factors, infant mortality, fertility rates, base numbers of dwellings, vacancy rates, building / demolition programmes.
- 5.1.6 The key features of population change impacting on the housing market are migration of mainly younger and economically active households and an ageing population with increasing care and support needs.

5.2 The Historic Demographic Structure (2001-2011)

- 5.2.1 This section analyses the demographic change over the last 10 years (2001-2011). The 2001 and 2011 Census data on population were used.
- 5.2.2 The 2011 Census data showed 266,200 people in Newcastle and 200,200 people in Gateshead.
- 5.2.3 Since 2001, Newcastle has experienced an increase in population of around 7.9% (+20,664 people), in line with the national change. Gateshead has seen a smaller increase of 4.7% (+9,049), although higher than the North East Region and Tyne and Wear.

- 5.2.4 Tyne & Wear sub-region has seen an increase in population of +2.7% and the North East region an increase of +3.2%, compared to 7.9% nationally.

Table 5-1 Population Change, 2001 / 2011

Area	Population 2001	Population 2011	Absolute Change	% Change
Newcastle	266,200	280,200	+ 14,000	+5.3
Gateshead	191,151	200,200	+ 9,049	+4.7
Tyne & Wear	1,075,938	1,104,800	+ 28,862	+2.7
North East	2,515,442	2,596,900	+ 81,458	+3.2
England	49,138,831	53,012,500	+3,873,669	+7.9

Source: ONS Census (2001 / 2011)

5.3 The Future Population - Gateshead

- 5.3.1 This section contains the recent 2011-based ONS projections. Although the ONS projections are interim and short-term (2011-21), they are the most up-to-date and take account of the Census.
- 5.3.2 Gateshead and Newcastle Councils have commissioned the Policy Research Group of Durham Business School/St Chad's College to extend the projections to cover the Plan period of the One Core Strategy, i.e. 2010-30. The following tables reflect this work.

Table 5-2 Total Population Change in Gateshead, 2011 – 2035

	2010	2015	2020	2025	2030	Change
Total Population	198,700	203,000	206,700	209,800	212,300	
Change		4,300	3,700	3,100	2,500	13,600
% Change		2.2%	1.8%	1.5%	1.2%	6.8%

Source: 2011 based ONS sub-national population projection: Figures are rounded to the nearest 100

- 5.3.3 The table shows an increase of 6.8% in the total population by 13,600 people over the period to 2030.

5.4 The Population Age Structure Projections

- 5.4.1 The table below shows the population change by age group between 2010 and 2030.

Table 5-3 Population Age Band Projections, Gateshead, 2010 – 2030

Age	2010	2015	2020	2025	2030	Change	Change %
0 to 19	44,897	45,734	46,606	47,859	47,422	2,525	5.6%
20 to 29	26,057	26,270	25,787	24,330	24,546	-1,511	- 5.8%
30 to 44	40,463	39,955	41,641	43,762	43,858	3,395	8.4%
45 to 64	52,421	52,719	52,845	51,403	50,428	-1,993	- 3.8%
65+	34,893	38,347	39,823	42,481	46,057	11,164	32.0%
Total	198,731	203,025	206,702	209,834	212,312	13,581	6.8%

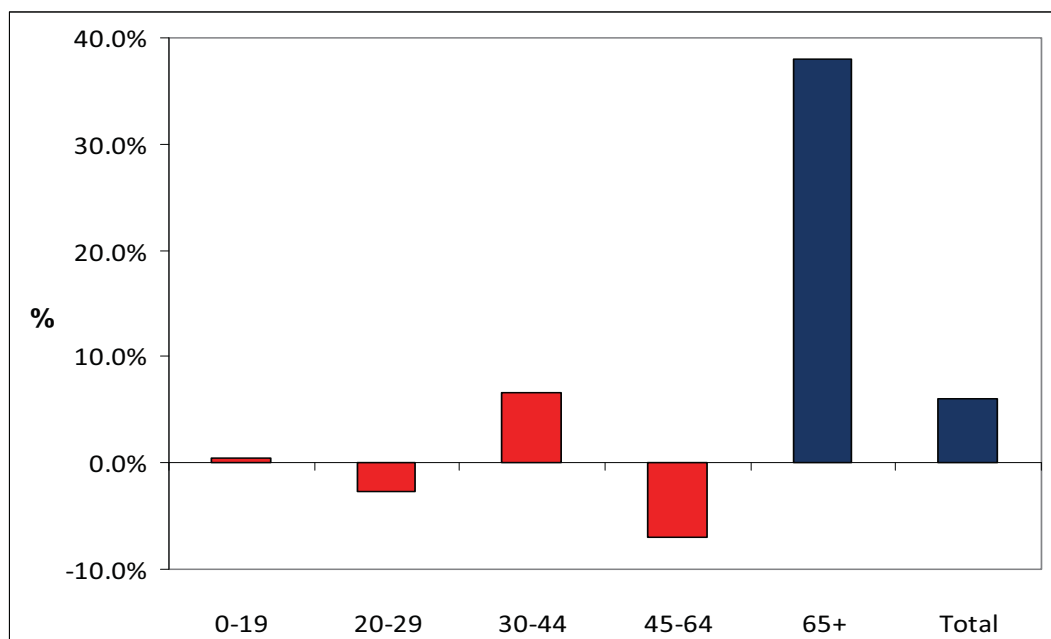
Source: 2011 based ONS sub-national population projections

Figures do not sum due to rounding, ONS only publish data to the nearest 100

5.4.2 There are increases in population across three age groups but falls in the 20 - 29 and 45 – 64 age bands.

- The overall growth of 13,581 people is a net increase of 6.8%;
- The increase of 2,417 people in all age groups up to age 64 is 1.5%;
- The growth of 11,164 people in the 65+ age group is an increase of 32.0%;
- The 65+ group grow from **17.9%** of the population in 2011 **to 21.7%** in 2030.

Figure 5-1 Age Band Percentage Change Projections, Gateshead, 2010 – 2030



Source: Office for National Statistics (ONS)

5.5 Older Population Growth Projections

Table 5-4 65+ Population Age Band Projection, Gateshead, 2010 – 2030

Age	2010	2015	2020	2025	2030	Change
65+	34,893	38,347	39,823	42,481	46,057	
Change		3,454	1,476	2,658	3,576	11,164
% change		9.9%	3.8%	6.7%	8.4%	32.0%

Source: 2011 based ONS sub-national population projections

5.5.1 There is an increase of 3,454 people (9.9%) over the current five year period 2010 to 2015 the highest rate of growth over the period to 2030. The largest increase of 3,576 people is over the period 2025 to 2030.

5.6 65+ Age Structure Breakdown

5.6.1 The table below shows the 65+ age structure breakdown over the period to 2030.

Table 5-5 Breakdown of 65 + age groups, Gateshead 2010 – 2030

	2010	2015	2020	2025	2030	Change	Change %
65-69	9,484	11,655	9,847	11,114	12,291	2,807	29.6%
70-74	8,946	8,648	10,669	9,045	10,273	1,327	14.8%
75-79	7,353	7,683	7,531	9,401	8,015	662	9.0%
80-84	5,034	5,683	6,103	6,121	7,751	2,717	54.0%
85+	2,775	3,061	3,626	4,241	4,836	2,061	74.3%
Total	33,592	36,730	37,777	39,922	43,167	9,575	
Change		3,138	1,047	2,145	3,245	9,575	28.5%
% Change		9.3%	2.9%	5.7%	8.1%	28.5%	

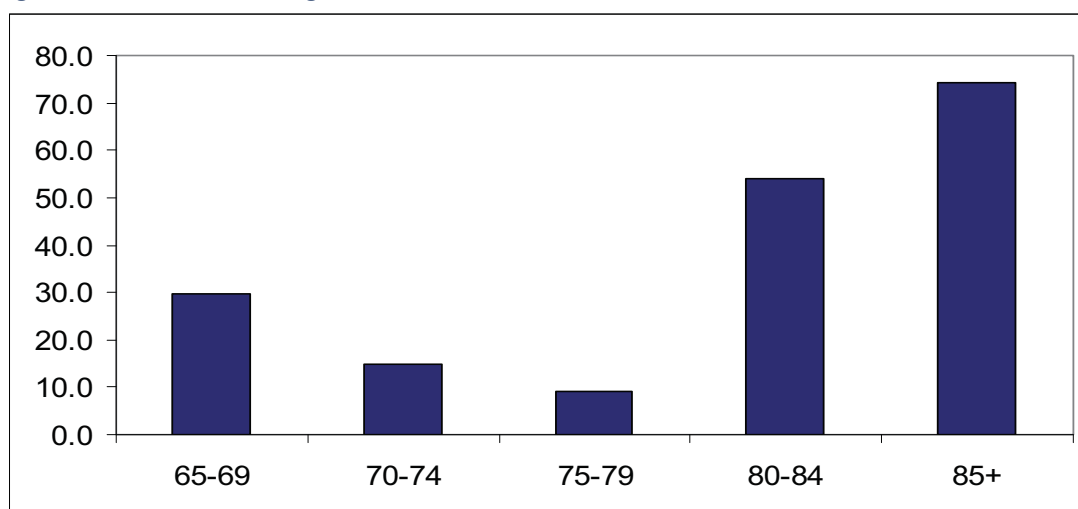
Source: Office for National Statistics (ONS)

5.6.2 Within the older age group, the major growth is in the numbers of people aged 85+, by 2,061 people (+74.3%) up to 2030.

5.6.3 However, there is also a significant growth of 2,717 people within the 80-84 age bracket (54%) and 2,807 more people aged 65 to 69 (29.6%).

5.6.4 Given the resource demands often associated with very elderly people, these are very significant figures.

Figure 5-2 % Change of 65+ 2010 – 2030



Source: Office for National Statistics (ONS)

5.7 The Over 75 Population

5.7.1 The 75 and over age population is projected to grow by 35.9% by 2030, shown in the table below.

5.7.2 The largest increases occur after 2020 with the greatest increase of 14.5% occurring between 2020 and 2025 higher than any other period.

Table 5-6 75+ Population Age Band Projection, Gateshead, 2010– 2030

Age	2010	2015	2020	2025	2030	Change
75+	15,162	16,427	17,260	19,762	20,603	
Change		1,265	833	2,502	841	5,441
% change		8.3%	5.1%	14.5%	4.3%	35.9%

Source: 2011 based ONS sub-national population projections

5.7.3 Changes in the population structure will impact on demand for different house types and tenures. Local Development Documents will need to take account of the projected growth in demand in these sectors and the strategic implications of these projections:-

- Growth in the number of individuals in the 30 to 44 age group is most likely to increase the demand for higher quality market housing, whilst the increase in the number of people in the 65+ age group will impact on the demand for market and affordable sheltered accommodation;
- As older people tend to remain in their family home after children have left home or after the loss of a partner there is a growing trend of under-occupation in both sectors of the housing market;
- The increase in older householders (i.e. 80+) will have implications for support services, options for housing with support, extra care housing, long term suitability of accommodation, equity release schemes, adaptations, and other age related care requirements.

5.8 The Future Population - Newcastle

5.8.1 The projections are ONS 2011 based sub-national population projections to 2021 and extended by the Policy Research Group of Durham Business School/St Chad's College to cover the Plan period of the One Core Strategy, i.e. 2010-30 but also makes changes to local and international migration assumptions.

Table 5-7 Total Population Change in Newcastle, 2010 – 2030

Population	2010	2015	2020	2025	2030	Change
Total	276,700	287,900	293,400	301,700	312,900	
Change		11,200	5,500	8,300	11,200	36,200
% Change		4.0%	1.9%	2.8%	3.7%	13.1%

Source: 2011 based ONS sub-national population projection: Figures are rounded to the nearest 100

5.8.2 The table shows an increase of 13.1% in the total population by 36,200 people over the period to 2030.

5.9 The Population Age Structure Projection

5.9.1 The table below shows the population change by age group between 2010 and 2030.

Table 5-8 Population Age Band Projection, Newcastle, 2010 – 2030

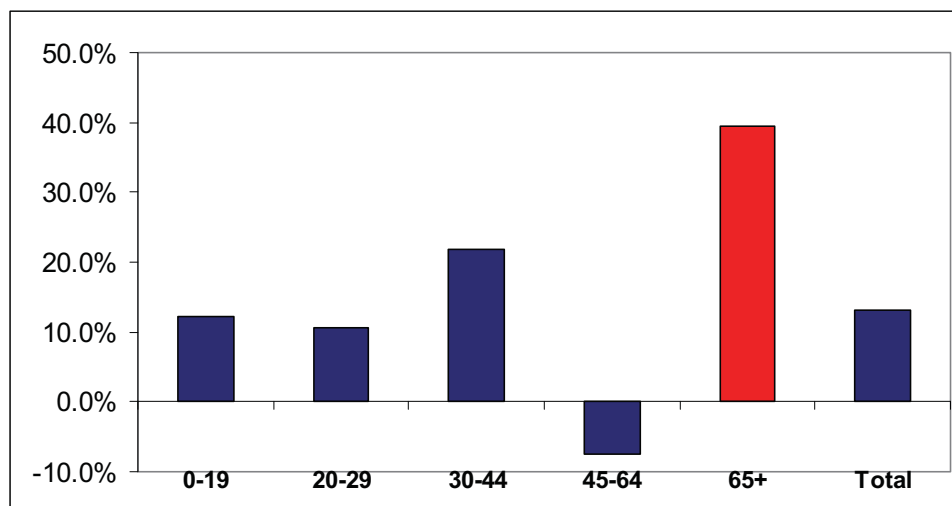
Age	2010	2015	2020	2025	2030	Change	Change %
0 to 19	65,633	66,890	68,408	71,736	73,686	8,053	12.3%
20 to 29	57,880	64,037	64,250	61,287	64,005	6,125	10.6%
30 to 44	51,807	52,018	53,622	60,076	63,157	11,350	21.9%
45 to 64	62,441	62,930	62,222	59,183	57,762	-4,679	-7.5%
65+	38,920	41,979	44,892	49,446	54,296	15,376	39.5%
Total	276,681	287,854	293,393	301,728	312,907	36,226	13.1%

Source: 2011 based ONS sub-national population projections

5.9.2 There are increases in population across all age groups except the 45 to 64 age band over the period to 2030.

- The overall growth of 36,226 people is a net increase of 13.1%;
- The growth of 15,376 people in the 65+ age group is an increase of 39.5%;
- The 65+ group grow from **15.8%** of the population in 2010 to **17.4%** in 2030.

Figure 5-3 Age Band Percentage Change Projection, Newcastle, 2011 – 2030



Source: Office for National Statistics (ONS)

5.10 Older Population Growth Projections

Table 5-9 65+ Population Age Band Projection, Newcastle, 2010 – 2030

Age	2010	2015	2020	2025	2030	Change
65+	38,920	41,979	44,892	49,446	54,296	
Change		3,059	2,913	4,554	4,850	15,376
% change		7.9%	6.9%	10.1%	9.8%	39.5%

Source: 2011 based ONS sub-national population projections

- 5.10.1 There is an increase of 3,059 people (7.9%) over the current five year period 2010 to 2015. The largest increase of 4,850 people is over the period 2025 to 2030 of 9.8%.

5.11 65+ Age Structure Breakdown

- 5.11.1 The table below shows the 65+ age structure breakdown over the period to 2030.

Table 5-10 Breakdown of 65 + age groups, 2010 – 2030

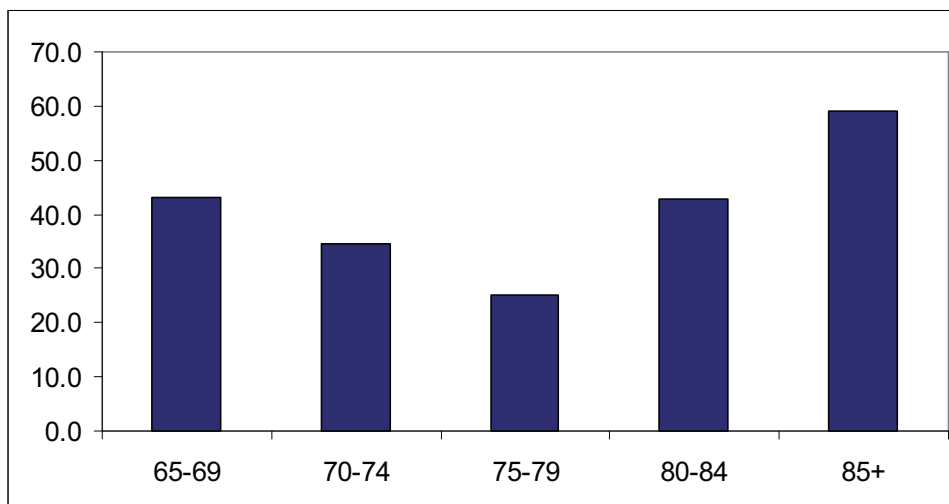
	2010	2015	2020	2025	2030	Change	Change %
65-69	10,031	12,810	12,179	13,721	14,339	4,308	43.0%
70-74	9,387	9,009	11,621	11,117	12,624	3,237	34.5%
75-79	7,950	8,006	7,872	10,300	9,939	1,989	25.0%
80-84	6,046	6,162	6,451	6,503	8,626	2,580	42.7%
85+	5,506	5,992	6,769	7,804	8,767	3,261	59.2%
Total	38,920	41,979	44,892	49,446	54,296	15,376	
Change		3,059	2,913	4,554	4,850	15,376	39.5%
% Change		7.9%	6.9%	10.1%	9.8%	39.5%	

Source: Office for National Statistics (ONS)

- 5.11.2 Within the older age group, the major growth is in the numbers of people aged 85+, by 3,261 people (+59.2%) up to 2030. However, there is also a significant growth of 2,580 more people aged 80 to 84 (42.7%) and 4,308 more people aged 65 to 69 (43.0%), by 2030.

- 5.11.3 Given the resource demands often associated with very elderly people, these are quite significant figures.

Figure 5-4 % Change of 65+ 2010 – 2030



Source: Office for National Statistics (ONS)

5.12 The Over 75 Population

- 5.12.1 The 75 and over age population is projected to grow by 7,831 more people, an increase of 40.2% by 2030, shown in the table below.
- 5.12.2 The largest increases occur after 2020 with the greatest increase of 16.7% occurring between 2020 and 2025, higher than in any other period.

Table 5-11 75+ Population Age Band Projection, Newcastle, 2010 – 2030

Age	2010	2015	2020	2025	2030	Change
75+	19,502	20,160	21,092	24,607	27,333	
Change		658	932	3,515	2,726	7,831
% change		3.4%	4.6%	16.7%	11.1%	40.2%

Source: 2011 based ONS sub-national population projections

- 5.12.3 There is an increase in this group in the older population throughout the period.
- 5.12.4 Changes in the population structure will impact on demand for different house types and tenures. Local Development Documents will need to take account of the projected growth in demand in these sectors and the strategic implications of these projections:-
- Growth in the number of individuals in the 30 to 44 age group is most likely to increase the demand for higher quality market housing, whilst the increase in the number of people in the 65+ age group will impact on the demand for market and affordable sheltered accommodation;
 - As older people tend to remain in their family home after children have left home or after the loss of a partner there is a growing trend of under-occupation in both sectors of the housing market;

- The increase in older householders (i.e. 80+) will have implications for support services, options for housing with support, extra care housing, long term suitability of accommodation, equity release schemes, adaptations, and other age related care requirements.

5.13 Projected Change in Households

Household Size

- 5.13.1 In March 2013, CLG released the latest household projections for England, Government Office Regions and local authorities. The projections are based on the ONS 2011-based national and sub-national population projections.
- 5.13.2 The latest CLG household projections are for the period 2011-21 have been extended by St Chad's College to cover the One Core Strategy Plan period, 2010-30.
- 5.13.3 The data shows that the average household size in Gateshead is projected to fall marginally from 2.24 to 2.18 and in Newcastle from 2.38 to 2.35 over the period 2010 to 2030. This projected decline in household size to 2030 can be linked to the predicted growth in the over 60 population where more older people are living longer; the impact of relationship breakdown; and the increase in the number of single / couple households.
- 5.13.4 Declining average household size combined with a growing population means there will be a requirement for additional housing units.

Table 5-12 Projected Change in Households in Gateshead, 2010 – 2030

	2010	2015	2020	2025	2030	Change
Households	88,500	91,100	93,400	95,300	97,200	
Household change		2,600	2,300	1,900	1,900	8,800
% Change		2.9%	2.5%	2.0%	2.0%	9.9%

Source: CLG 2011 Based (March 2013)

- 5.13.5 There is predicted to be 8,800 (9.9%) more households in Gateshead in 2030 than in 2010.
- 5.13.6 Table 5-13 below outlines the household projections for Newcastle from 2010 to 2030.

Table 5-13 Projected Change in Households in Newcastle, 2010 – 2030

	2010	2015	2020	2025	2030	Change
Households	116,000	119,600	122,800	127,700	133,600	
Household change		3,600	3,200	4,900	5,900	17,600
% Change		3.1%	2.7%	4.0%	4.6%	15.2%

Source: CLG 2010 Based (March 2013)

- 5.13.7 There is projected to be 17,600 (15.2%) more households in Newcastle in 2030 than in 2010.

5.14 St Chad's College Study

- 5.14.1 Responsibility for establishing the level of future housing provision in their area will in future rest solely with the individual local planning authorities.
- 5.14.2 A key part of estimating this future provision will be an assessment of the likely future population of each authority's area and the implications for provision of housing, jobs, infrastructure, services and facilities.
- 5.14.3 Newcastle and Gateshead Councils considered it important to gain the best possible understanding of trends in population and household growth for the period 2010 to 2030 to inform the development of the Core Strategy.
- 5.14.4 The Policy Research Group at St Chad's College was commissioned to conduct an agreed programme of work to assess a range of demographic and economic projections. The scenarios were defined by different parameters, to include migration-led, dwelling-led and economic-led approaches to demographic forecasts.
- 5.14.5 The study approach was to encourage examination of the demography of each area from different perspectives and the Draft Third Update Report was published in June 2013. It will be for each authority to determine the use of the projections and other outputs from this project to inform future spatial policy development.

6 ECONOMIC ACTIVITY

6.1 Introduction

- 6.1.1 This section provides an update of the economic activity including, up to date analysis on employment, income and migration analysis.
- 6.1.2 The economic development of an area can be of equal importance in driving change in housing markets, especially due to the effect of migration. This section analyses the recent economic performance in Gateshead and Newcastle and how changes have influenced and interacted with demographic changes as analysed in section 4.
- 6.1.3 It is important to highlight the reciprocal relationship between economic development and the provision of housing. Whilst there is an obvious and established link between economic development and the requirement for new housing, or economic decline and problems of low demand, the type of housing provided within an area can also play a central role in addressing and facilitating economic development and regeneration objectives.

6.2 The UK Economy

- 6.2.1 Local housing markets are sensitive to macro-economic policies. Interest rates, set by the Bank of England, are monitored by Central Government to achieve and maintain stable, low inflation rates. Higher interest rates can reduce the demand for housing by making it more expensive to borrow money, although households may still aspire to buy in the future.
- 6.2.2 In March 2010, the Bank of England's Monetary Policy Committee voted to maintain the official Bank Rate paid on commercial bank reserves at 0.5%. Interest rates at 2011 / 12 are at a very low level when compared to those over the last few decades. Historic rises in interest rates will have affected the affordability of housing and demand for mortgages. Interest rates can also affect employment levels by increasing the cost of investment.
- 6.2.3 After a long period of economic growth and low levels of unemployment, this assessment has been conducted during a period of major economic uncertainty, particularly in the finance and housing markets. The financial crisis in the mortgage markets has created a major fall in the availability of mortgages and has caused the fastest fall in the volume of property sales and new development for over 60 years.
- 6.2.4 This has had a significant impact on land values and unemployment in the building industry, the supply chain of manufacturing companies and estate agency sectors. There is a difficulty in predicting how far the economic decline will go and how long the housing market will remain severely depressed, as forecasts and data on activity change virtually every month.
- 6.2.5 In the short term this could have a severe impact on the delivery of a wide range of market housing. Experience of the last recession suggests that developers will build only first time buyer units, more affordable housing and possibly only build to pre-sales.

- 6.2.6 Access to regeneration budgets or to the Housing and Communities Agency (HCA) National Affordable Homes Programme (NAHP) can be an important influence on housing supply together with the availability of land. However, it should be borne in mind that new build is a small proportion of total stock (less than 2% per annum nationally).

6.3 Employment

- 6.3.1 The following table shows the employment change from 2008 (data used in the 2010 SHMA Report, although the Annual Business Inquiry has not been updated since 2008 and therefore data below is taken from the ONS Business Register and Employment Survey) to the most recent data available which is 2011.

Table 6-1 Employment Change 2008-2011

	2008	2011	Absolute Change	Change %
Newcastle	179,600	172,800	- 6,800	- 3.8
Gateshead	95,100	91,200	- 3,900	- 4.1
North East	1,057,000	1,008,300	- 48,700	- 4.6
England	23,330,000	23,059,000	- 271,000	- 1.2

Source: ONS Business Register and Employment Survey

- 6.3.2 Between 2008 and 2011 there was a reduction of 6,800 (3.8%) employee jobs in Newcastle and 3,900 in Gateshead, a fall of 4.1%. Nationally employment fell by 1.2%.

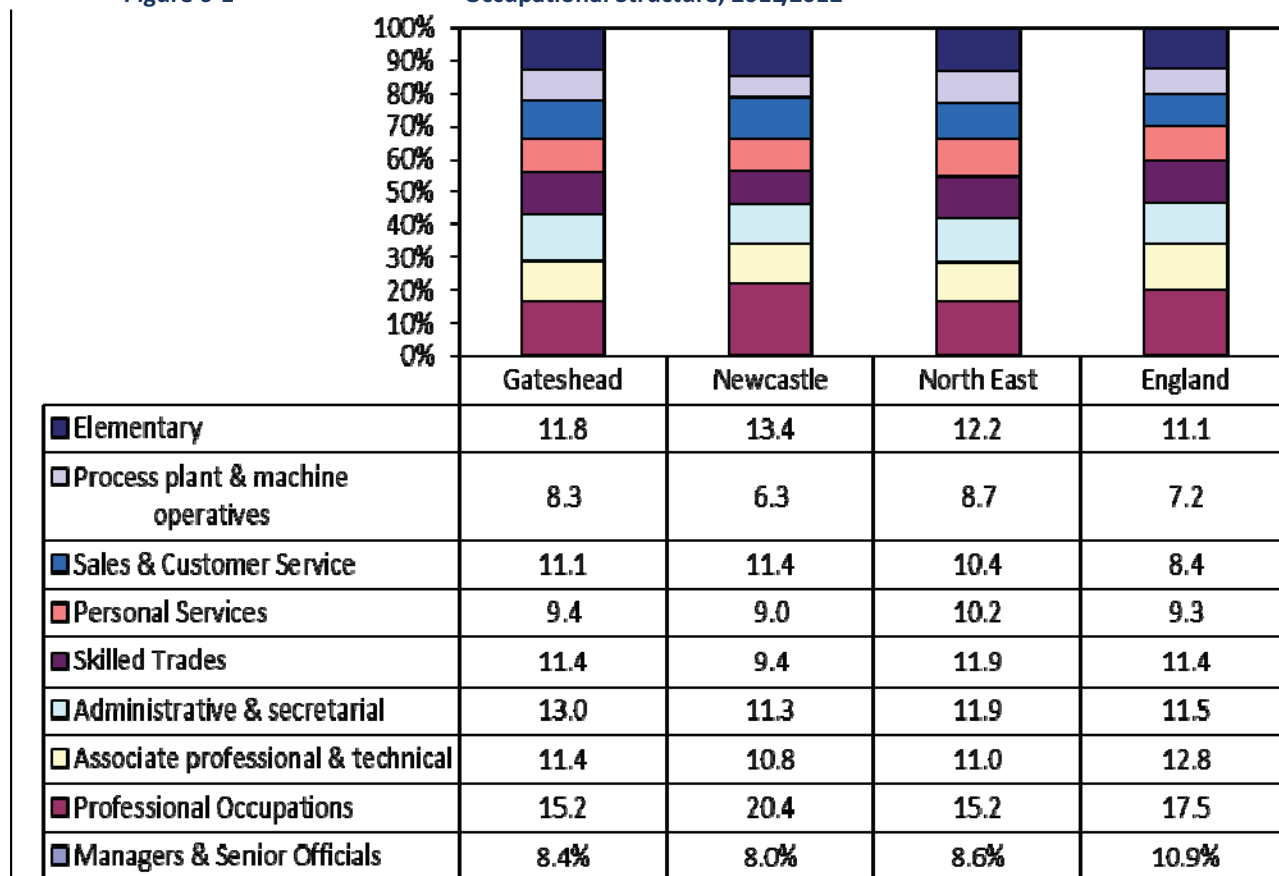
6.4 Occupation

- 6.4.1 The occupational structure of a population can be used to assess the competitiveness of an economy.
- 6.4.2 Figure 6-1 below outlines the split by occupation of those who live in Gateshead and Newcastle and are in work, based on the new 2011 Census data. The occupational structure of the workforce is linked with the types of industry prevalent within the economy.
- 6.4.3 Within Gateshead, the largest occupation groups in absolute terms are professional occupations (15.2%), but lower than Newcastle and the national level. Administrative and secretarial at 13.0% is the highest level across all the benchmark areas.

- 6.4.4 The number of employees in Newcastle in the professional occupations (20.4%), are the largest proportions when compared to the other benchmark areas, Newcastle also has higher levels of sales and customer service and elementary professions than other benchmark areas.

Figure 6-1

Occupational Structure, 2011/2012



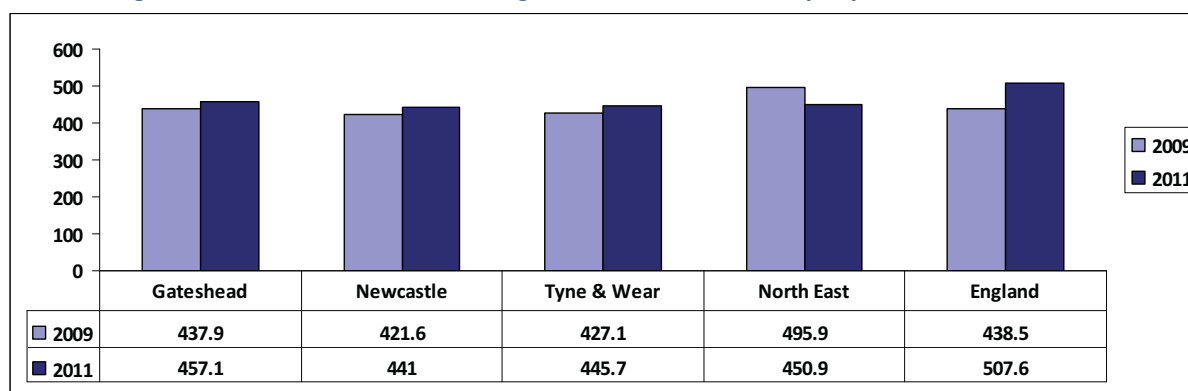
Source: Census 2011

6.5 Income

- 6.5.1 The following graph shows the average residence gross weekly pay in 2011, the most recent data compared with 2009, the data used in the 2010 SHMA Report.

Figure 6-2

Average Residence Gross Weekly Pay 2009 / 2011



Source: Annual Survey of Hours and Earnings (2011)

- 6.5.2 The average residence pay within Newcastle of £441.00 is below the Gateshead level of £457.10, Tyne & Wear (£445.70), the North East region (£450.90) and nationally (£507.60).

- 6.5.3 The following table shows the difference in percentage terms in the residence gross weekly pay from 2009 to 2011.

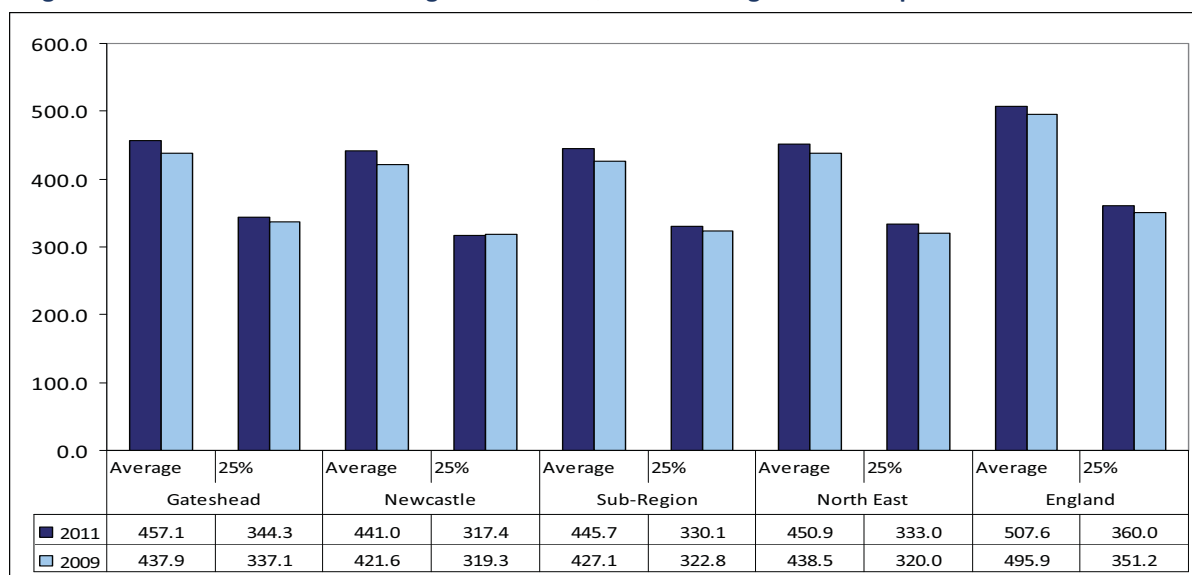
Table 6-2 % Change in Residence Average Gross Weekly Pay (£) 2009-2011

	2009	2011	% change
Gateshead	437.9	457.1	+ 4.4
Newcastle	421.6	441.0	+ 4.6
Sub-Region	427.1	507.6	+ 18.8
North East	438.5	450.9	+2.8
England	495.9	507.6	+ 2.3

Source: Annual Survey of Hours and Earnings (2011)

- 6.5.4 The biggest change in residence average gross weekly pay was found in the sub-region, an 18.8% increase since 2009. England was the lowest increase of just 2.3%.
- 6.5.5 The following graph compares the average weekly residence earnings in 2009 and 2011, to the lowest quartile weekly earnings (i.e. the bottom 25%).

Figure 6-3 Average and Lower Quartile Earnings 2009-2011 per week



Source: Annual Survey of Hours and Earnings (2009 and 2011)

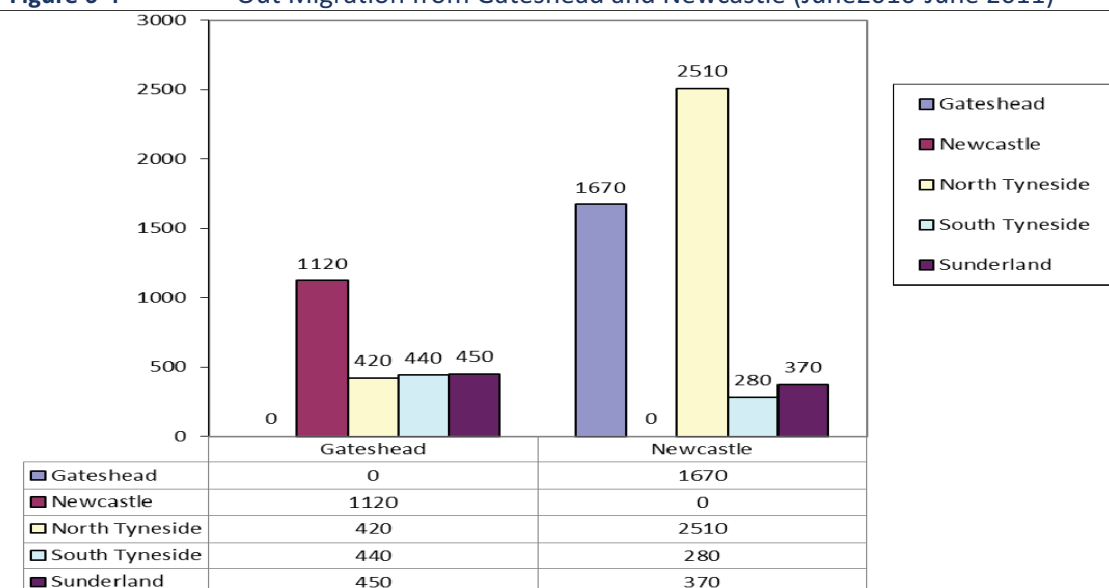
- 6.5.6 Across all areas both the average and the lowest quartile weekly earnings have increased between 2009 and 2011.

6.6 Migration

- 6.6.1 The 2011 Census has not released migration data at the time of writing this report and recent migration data for the year ending June 2011 from the Office of National Statistics (Migration Statistics Unit) was analysed to assess household movements between Local Authority areas. The data was released in September 2012.
- 6.6.2 As there is no single system to record population movements within the UK, internal migration estimates must be derived from alternative sources. This data has been produced using a combination of three data sets; National Health Service Central Register (NHSCR), the Patient Register Data Service (PRDS) and the Higher Education Statistics Agency (HESA).

- 6.6.3 The graph below shows the out migration levels regarding movement out Gateshead and Newcastle in the year ending June 2011 from the other local authorities within the LEP..

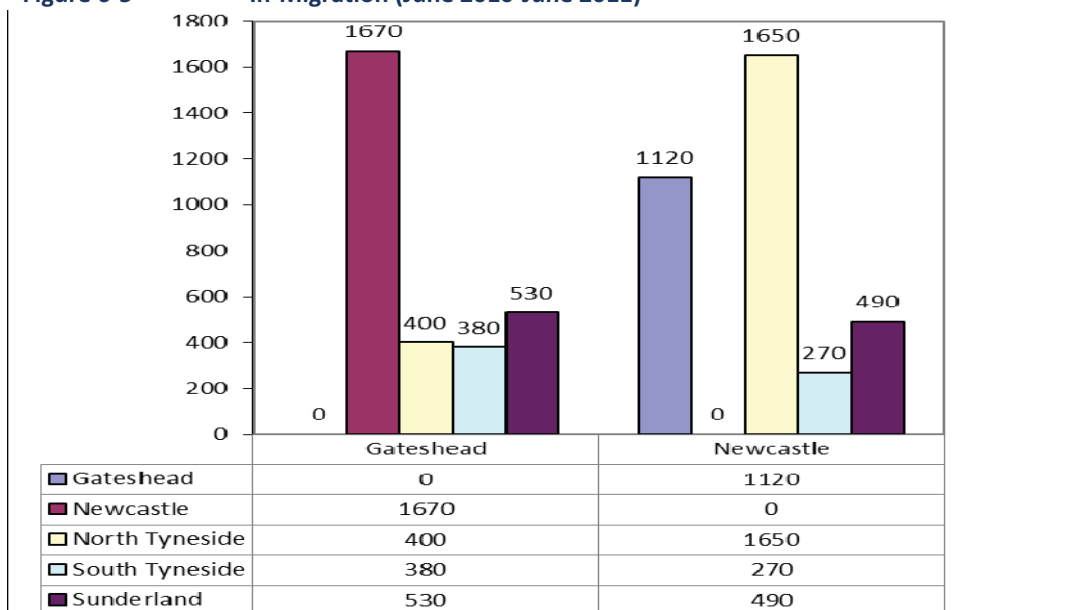
Figure 6-4 Out Migration from Gateshead and Newcastle (June2010-June 2011)



Source: ONS Internal Migration Data (June 2010 to June2011)

- 6.6.4 The data shows that the highest proportion of people moving away from Gateshead in that period moved to Newcastle the highest proportion of people moving away from Newcastle were going to North Tyneside followed by Gateshead.
- 6.6.5 The graph below shows the in-migration levels regarding movement into Gateshead and Newcastle in the year ending June 2011 from the other local authorities within the LEP.

Figure 6-5 In-Migration (June 2010-June 2011)



Source: ONS Internal Migration Data (June 2010 to June2011)

6.6.6 The main in-migration to Gateshead in the year ending June 2011 was from Newcastle, followed by Sunderland and South Tyneside. The main in-migration to Newcastle was from North Tyneside followed by Gateshead and Sunderland.

6.6.7 The table below shows the net migration balance of the age groups.

Table 6-3 Newcastle Net Migration Balance by age groups 2011 - %

Ages	Inflow	Outflow	Balance
0-15	1.4	1.8	-0.3
16-24	9.7	8.3	1.3
25-44	4.7	7.0	-2.2
45-64	1.1	1.2	-0.2
65+	0.4	0.5	-0.1
All ages	17.3	18.7	-1.5

Source: ONS Internal Migration Data (June 2010 to June 2011)

6.6.8 There is a net in-migration balance of the 16-24 age range in Newcastle (1.3%). This is largely the result of people coming to study at the two universities. All other age groups show a net out-migration, particularly of family age bands from 25 to 44 years.

Table 6-4 Gateshead Net Migration Balance by age groups 2011 - %

Ages	Inflow	Outflow	Balance
0-15	1.0	1.0	0.0
16-24	1.6	1.5	0.1
25-44	2.9	2.8	0.1
45-64	0.7	0.8	-0.1
65+	0.3	0.2	0.0
All ages	6.5	6.4	0.1

Source: ONS Internal Migration Data (June 2010 to June 2011)

6.6.9 There is a modest net in-migration balance in the 16-24, 25-44 age groups in Gateshead.

7 THE HOUSING REQUIREMENTS OF SPECIFIC GROUPS

- 7.1.1 SHMA Practice Guidance indicates that housing market partnerships should consider gathering information about the housing requirements of specific groups and that doing so will improve planning and housing policy.
- 7.1.2 Some household groups may have specific housing requirements which differ from the general population and need to be understood and planned for in setting both housing and planning strategies.
- 7.1.3 This Section provides an update from the 2010 SHMA on older people, those with a disability and support need and Gypsy and Traveller and Travelling Showpeople households.

7.2 Housing Needs of Older People

Key Findings

- 7.2.1 The impact of the growth in the numbers of older people was highlighted in the 2010 SHMA and the following strategy recommendations were made:-
- Address the current and future growth in older people and frail older households across all tenures and their related care and support needs.
 - The on-going development of older persons housing strategies should consider:-
 - The need for support services and adaptation required to enable people to remain in their own home;
 - The type, scale and quality of existing sheltered stock in meeting today's housing standards and preferences;
 - The need for 'extra care' accommodation for the growing frail elderly population.
- 7.2.2 These recommendations critically need now to be addressed comprehensively.

Housing and Planning Strategy

- Make best use of the housing stock by addressing under-occupation to assist in improving the rate of turnover of family units,
- Provide specialist accommodation to meet the changing requirements of the increasing older population.
- New social sector delivery should be closely linked to the needs of older tenants and in resolving the under-occupation of family sized properties.

- 7.2.3 Whilst there is a significant growth in numbers of people over the long term, it is important to recognise that a significant level of growth is **about to take place over the next 5 years.**

- 7.2.4 The demographic data shows that the issues which will have to be addressed are happening now and will have an impact in both the market and social housing sectors.

7.3 Population Growth and Housing Needs of 75+ Age Group

- 7.3.1 In general terms, care and support needs increase with age. However, more people are staying in their properties longer with support and care being supplied by external agents in their home.
- 7.3.2 Although this may be the case some older people cannot manage in their existing property and will need to access some kind of higher level supported housing. As shown in section 5.10 the older population has the highest population growth rate in both Gateshead and Newcastle and the Council's will need to consider the housing needs of this age group.
- 7.3.3 As well as the DCA primary Housing Needs Survey, secondary information from 'Caring for an Ageing Population in the South East, Laing & Buisson has been used when considering the future housing needs of older persons.
- 7.3.4 The number of older people remaining in their own homes with incoming support decreases for those over the age of 75 years.

7.3.5 Laing & Buisson developed its age standardised demand (ASD) formula for care home places using the correlation between age and disability and from this determined:-

“less than one percent of people aged 65 to 74 are in a care home for reasons of frailty, dementia, sensory impairment or physical disability;

for the next age group, 75 to 84, this jumps five-fold to more than four percent;

at over 16 percent the very old, that is people aged 85 and over”

7.3.6 The table below shows the ONS projected population of older people in both Gateshead and Newcastle over the next 21 years and by taking a percentage of this number what the potential need will be for supported housing.

7.3.7 Even if we allow just 2.5%, (less than Laing & Buisson’s recommendation), of the older population needing some kind of supported housing in the next five years there is a need for 325 units in Gateshead and 372 units in Newcastle for the 75-84 age group and 117 for those over the age of 85 in Gateshead and 180 in Newcastle.

7.3.8 We have also shown the need using 4% and 16% as outlined in Laing & Buisson ASD formula.

Table 7-1 Projected Housing Need of 75+ Year Olds

NEWCASTLE		2015	2020	2025	2030	GATESHEAD		2015	2020	2025	2030
75-84 Projected Population		14,200	14,300	16,800	18,600	75-84 Projected Population		13,400	13,600	15,500	15,700
Supported Housing Need Based on:						Supported Housing Need Based on:					
2.5% of 75 – 84 age group population		355	358	420	465	2.5% of 75 – 84 age group population		335	340	387	392
4% of 75 – 84 age group population		568	572	672	744	4% of 75 – 84 age group population		536	544	620	628
85+ Projected Population		6,000	6,800	7,800	8,800	85+ Projected Population		3,100	3,600	4,200	4,800
Supported Housing Need Based on:						Supported Housing Need Based on:					
2.5% of 85+ age group population		150	170	195	220	2.5% of 85+ age group population		78	90	105	120
4% of 85+ age group population		240	272	312	352	4% of 85+ age group population		124	144	168	192
16% of 85+ age group population		960	1,088	1,248	1,408	16% of 85+ age group population		496	576	672	768

Source: Office for National Statistics (ONS) 2010 sub-national projections

- 7.3.9 Even allowing for existing higher level supported housing the turnover will not meet this demand. If this demand is not addressed annually by 2030 there will be 20,600 people over the age of 75 in Gateshead and 27,400 in Newcastle, with a large number requiring some kind of supported housing.
- 7.3.10 The scale of under-occupation is very high representing around 35.9% of Newcastle households with approximately 4,850 in the social rented sector, compared to 32.7% of Gateshead households with 4,150 in the social rented sector.
- 7.3.11 Addressing this need in policy and development terms will help the flow of family homes as well as freeing up lower level supported housing in both market and social housing.

7.4 Sheltered Housing Demand

- 7.4.1 The 2010 SHMA data indicate that 232 implied households in Newcastle and 73 implied households in Gateshead expressed an expectation for sheltered housing.
- 7.4.2 The data revealed that all 232 households in Newcastle expected sheltered housing in the affordable sector, 137 from a Housing Association and 95 expected to rent from the Council.
- 7.4.3 In Gateshead, all 73 implied households expected to rent sheltered housing from a housing association.

7.5 Making Best use of the Existing Stock

- 7.5.1 Making the best use of the existing stock is a core Government objective and is a key aspect of sustainable development. The significant under-occupation of existing housing stock in both sectors is a key element in future strategy to provide a more balanced stock to meet the requirements of future households.
- 7.5.2 New development should meet gaps in the current stock and create secondary gains in improving stock flow in both sectors.
- 7.5.3 Over half of households in both authorities, within the owner occupied no mortgage sector have two or more spare bedrooms, similar to the level of around 61% found in recent DCA surveys. This sector will include a high proportion of older households.
- 7.5.4 Additionally between a third to a half of current owner-occupier households with a mortgage also under-occupy and as these households grow older, the scale of social stock under-occupation will increase year on year if the existing stock turnover is not improved.

7.6 Make the best use of adapted properties

- 7.6.1 The Council should maintain the register of social rented properties with adaptations in the District so that the best use can be made of the existing housing stock when vacancies occur.
- 7.6.2 The list will enable adapted properties to be clearly advertised to ensure that priority can be given to people who need specific adaptations.

7.7 Gypsy and Traveller & Travelling Show People Households

- 7.7.1 Every local housing authority is required under Section 225 of the Housing Act 2004 to assess the accommodation needs of Gypsies and Travellers residing in their area.
- 7.7.2 Newcastle and Gateshead Councils, in partnership with other local authorities in Tyne & Wear were part of a sub-regional Gypsy and Traveller and Travelling Showpeople Accommodation Needs Assessment, completed in February 2009.
- 7.7.3 DCA have conducted a new study of Gypsy and Traveller needs using secondary data since 2008 and discussions with key personnel in Housing, Health and Education in Newcastle and Gateshead.
- 7.7.4 The study found that there is no need identified in Newcastle and a potentially marginal requirement in Gateshead which could be resolved within a wider analysis of the potential for regional Transit site provision. The Report has been provided as a separate document.

8 FUTURE SIZE OF AFFORDABLE HOUSING

- 8.1.1 Local Development Documents need to provide targets on the size of future affordable housing units required. Stock balance, turnover and waiting list demand analysis are vital to identify the gaps in the stock and the proportions by type and size required to address current and future need.
- 8.1.2 Affordable housing should be in locations with extremely good public transport links to town centres, employment destinations and other key services.

8.2 The Social Rented Sector

- 8.2.1 The following table provide analysis of the levels of registered need and actual supply from turnover of Council and Registered Provider rented stock through re-lets by bedroom size. A major review of the waiting list has produced significant changes to levels of need for property sizes in the rented sector.
- 8.2.2 The ratio of waiting list demand to supply is the number of years it would take on the waiting list for individual property sizes to be met through the turnover of the existing stock. This also makes the extreme assumption that there is no future need other than the current backlog, which clearly will not be the case.

Table 8-1 Social Stock, Waiting List Need and Social Turnover

Stock Size		1 bedroom	2 bedroom	3 bedroom	4+ bedroom	Total
Gateshead						
Stock	N ^{os.}	4,327	9,609	6,648	400	20,984
	%	20.6	45.8	31.7	1.9	100%
Social Stock Turnover	N ^{os.}	639	814	305	18	1776
	%	36.0	45.8	17.2	1.0	100%
Waiting List	N ^{os.}	8,967	1,553	1,101	233	11,854
	%	75.6	13.1	9.3	2.0	100%
Demand vs. Supply		14.0 :1	1.9 :1	3.6 :1	12.9 :1	6.7 :1
Newcastle		1 bedroom	2 bedroom	3 bedroom	4+ bedroom	Total
Stock	N ^{os.}	5,816	10,986	11,307	745	28,854
	%	20.1	38.1	39.2	2.6	100%
Social Stock Turnover	N ^{os.}	721	1,270	706	54	2,751
	%	26.2	46.2	25.6	2.0	100%
Waiting List	N ^{os.}	5,362	2,605	1,007	36	9,010
	%	59.5	28.9	11.2	0.4	100%
Demand vs. Supply		7.4 :1	2.1 :1	1.4 :1	<1:1	3.3 :1

Source: ELASH data at 1st April 2012 and Council data 2011/12,

- 8.2.3 In Gateshead, even if no new need arose, it would take:-
- 14 years to meet the requirements for 1 bedroom properties;
 - Almost 2 years to address the 2 bedroom requirement;
 - Over three and a half years to address the 3 bedroom stock requirement;
 - Almost 13 years to meet the need for larger 4+ bedroom family units.
- 8.2.4 In Newcastle, even if no new need arose, it would take:-
- Over seven and a half years to meet the requirements for 1 bedroom properties;
 - Over 2 years to address the 2 bedroom requirement;
 - Almost one and a half years to address the 3 bedroom stock requirement;
 - Less than one year to meet the need for larger 4+ bedroom family units.
- 8.2.5 In Gateshead 36.0% of stock turnover is from 1 bedroom units, just less than half the waiting list needs proportion of 75.6% for these units. Newcastle has a similar picture where 26.2% of stock turnover is from 1 bedroom units and the waiting list need is 59.5% for these units.
- 8.2.6 Although these are significantly the highest need in terms of unit numbers, a number of factors need to be considered in determining targets by size which clearly also influence property type.
- 8.2.7 Small units normally turn over significantly more regularly in the existing stock than family units, but the nature of the stock has an impact on turnover rates.
- 8.2.8 The waiting list in Gateshead for one bedroom properties contains 8,967 households, and in Newcastle 5,362 households, many of whom are younger households unlikely to be offered a property. Some are older households registering either to meet current need or as insurance for a future potential need.
- 8.2.9 These factors are important in judging future delivery to meet priorities rather than arithmetic scale of recorded need. There is however a caveat that in meeting priority needs there is still a requirement for 1 bedroom units to meet the needs of young, single, homeless households across the area.
- 8.2.10 In Gateshead 4 bedroom properties are 1.9% of the total stock (400) however, the turnover is almost half (1.0% of total re-lets) resulting in a longer waiting time for these properties compared to 2 and 3 bedroom units. By far the longest waiting time was for a 1 bedroom property averaging 14 years.
- 8.2.11 In Gateshead four bedroom unit needs are the smallest in terms of numbers, but they are the most difficult to resolve due to extremely low turnover levels with only 18 units a year becoming available. There are only 400 units in the stock and 233 households on the waiting list.
- 8.2.12 In contrast, in Newcastle 4 bedroom properties are 2.6% of the total stock (745) and the turnover is 2.0% of total re-lets, a higher turnover than usually found in similar studies. This results that on average, a larger household could be re-housed within one year. Households have a reasonable waiting time of between 1 and 2 years for a 2 or 3 bedroom house. By far the longest waiting time was for a 1 bedroom property averaging almost seven and a half years.

- 8.2.13 In view of the current stock balance, the scale of likely annual new provision and the requirement to address priority household need, a level of 60% of future delivery in the affordable sector should be one and two bedroom units, lower than current needs level of 86%.
- 8.2.14 However, because of the demand for 2 bedroom units (as opposed to need), the mix should be for 20% 1 bedroom and 40% 2 bedrooms.
- 8.2.15 To address the requirements for families who are overcrowded in the social sector and particularly those who have high levels of priority, it is recommended that 40% of future supply is for 3 and 4 bedroom houses, 20% 3 bedrooms and 20% 4 bedrooms.
- 8.2.16 Based on a 240 unit total delivery, the 4 bedroom target of 20% would result in only 30 properties across the whole area and should be monitored in view of the relatively small scale of need for these larger units..

8.3 Under-Occupation

- 8.3.1 The 2010 SHMA Report identified that in the social sector there was under-occupation of over 9,000 social rented family units with two or more spare bedrooms between the two authorities.
- 8.3.2 This scale will already have increased and will continue to rise as the impact of demographic change occurs, especially in the light of the proportion of 3 bedroom properties in the stock.
- 8.3.3 It was recommended that this was an issue for Housing Strategy to consider, both to make best use of the housing stock and address the needs of families in the social rented sector.
- 8.3.4 Achieving a better flow of family units targeted to under-occupying households should also have a cascade effect, increasing turnover of all smaller unit sizes as households are able to transfer to larger units to meet their need.
- 8.3.5 In effect up to three household moves could result from the delivery of one new older persons unit.
- 8.3.6 This improved flow across all property sizes is important in meeting future one bedroom need as these units are difficult to finance and deliver from new developments.
- 8.3.7 Addressing under-occupation will have an impact which is difficult to precisely predict and will need to be closely monitored to assess the changing balance of property size needed on an annual basis.
- 8.3.8 However, although it is accepted that this is not easy to achieve, a low 2.5% target would create 225 additional family unit re-lets a year, without the cascade benefit. This is a significant number related to the units which could be delivered from the planning system.

9 CLG NEEDS ASSESSMENT MODEL STRUCTURE

9.1 Introduction

- 9.1.1 SHMA Practice Guidance indicates that housing partnerships should estimate the number of households who lack their own housing or live in unsuitable housing and who cannot afford to meet their needs in the market.
- 9.1.2 This element of the assessment is essential to identify the total scale of need of those not able to access the market, the provision from existing stock turnover and the net need which requires to be addressed from future new provision. It provides essential evidence for affordable housing targets in Local Development documents.

9.2 The CLG Needs Assessment Model Structure

- 9.2.1 There are three 'Stages' in the needs assessment model, combined into three distinct sections assessing current and future housing need and supply.

STAGE 1 CURRENT HOUSING NEED

- 1.1 Homeless households and those in temporary accommodation
Plus
- 1.2 Overcrowded (households who failed the CLG 'bedroom standard') and concealed households (those over 25 who share facilities with another household)
Plus
- 1.3 Other groups
- 1.4 ***Equals - Total Current Housing Need***



STAGE 2 FUTURE HOUSING NEED (GROSS)

- 2.1 New household formation (gross per year)
Times
- 2.2 Proportion of new households unable to rent in the market
Plus
- 2.3 Existing households falling into need
- 2.4 ***Equals - Total Newly Arising Need***



STAGE 3 AFFORDABLE HOUSING SUPPLY

- 3.1 Affordable dwellings occupied by households in need
Plus
- 3.2 Surplus stock
Plus
- 3.3 Committed supply of new affordable housing
Minus
- 3.4 Units to be taken out of management
- 3.5 ***Equals - Total Affordable Housing Stock Available***
- 3.6 Annual supply of social re-lets (net)
Plus
- 3.7 Annual supply of intermediate affordable housing available for re-let or re-sale at sub-market levels.
- 3.8 ***Equals - Annual Supply of Affordable Housing***

- 9.2.2 Guidance has not yet been changed despite the issue of the NPPF and radical changes in mortgage lending terms. The Housing Needs Assessment Model is therefore still based on the 2007 Strategic Housing Market Assessment Practice Guidance, and is assessed across the combined Newcastle/Gateshead area.
- 9.2.3 The model is structured on a 'flows' basis, taking account of recent experience over the previous three years and examining projections over the next two years.
- 9.2.4 It has to be assumed that this 'annualised' data will occur each year to 2015. The primary data has a five year 'life' and will of course be gathered again before 2015. Major changes in house prices and incomes could cause significant variation in the overall situation. This Model data should be up-dated annually, normally in June/July when all the fiscal year data is finalised.
- 9.2.5 In this section the assessment of affordable housing need has been conducted using both primary data from the 2010 Housing Surveys and secondary data from CORE, HSSA and the records of each local authority.

9.3 Newcastle and Gateshead Needs Assessment Model

- 9.3.1 The first element of this Stage of the model estimates the number of homeless households including those in temporary accommodation.
- 9.3.2 The data available from the P1(E) returns for the year to June 2012 showed that there were 375 households who were accepted as homeless across the area. A total of **375** is therefore the figure applied at **Stage 1.1 in the model**.
- 9.3.3 The second element in Stage 1 of the model estimates the number of households in over-crowded conditions (i.e. those who fail the 'bedroom standard'), and concealed households (couples, people with children and single adults aged over 25 who share facilities with another household).

Table 9-1 Overcrowded and Concealed Households

Overcrowded Households	3,996	
MINUS New Forming Solution or Leaving the City	9	
PLUS Concealed Households	0	
MINUS Duplication	0	
Net Overcrowded + Concealed Group	3,987	3,987
Proportion unable to afford market housing	70.2%	
Stage 1.2 Overcrowding and concealed households		2,800

- 9.3.4 There are 3,996 households who are overcrowded by the 'bedroom standard'. However 9 of these will be resolved by a newly forming household or by these households leaving Newcastle/Gateshead, leaving a net group of 3,987. There are no concealed households in the overcrowded group, creating a total of 3,987 overcrowded and concealed households.
- 9.3.5 A test of affordability for these households shows that around 70% of them cannot afford to resolve their housing difficulties through market housing and 2,800 households have been applied in the model at Stage 1.2.
- 9.3.6 The third element in Stage 1 of the model examines households living in unsuitable accommodation whose problem cannot be solved 'in-situ' and who therefore require to move home in order to resolve their difficulty.

- 9.3.7 The SHMA Practice Guidance identifies that households who are overcrowded, were suffering harassment, those whose rent / mortgage was too expensive, housing was affecting their health, whose tenancy was insecure or whose home was too large are all assessed to need to move home.
- 9.3.8 The survey data identified 10,544 households with one or more of these inadequacies, of whom 473 were already counted in Stage 1.2 and need to be removed to avoid double-counting.
- 9.3.9 This leaves a net group of 10,071 households, around 77.8% of whom are unable to afford to resolve their housing difficulties through market housing in the area, leaving 7,839 households to be applied in the model at Stage 1.3.
- 9.3.10 The final element of Stage 1 of the model is a sum of steps 1.1, 1.2 and 1.3 above, a total of 11,014 applied at Stage 1.4.

Table 9-2 Current Housing Need (Gross)

STAGE 1 – CURRENT HOUSING NEED (GROSS)	
1.1 Homeless households and those in temporary accommodation	375
1.2 Overcrowding and concealed households	2,800
1.3 Other groups	7,839
1.4 TOTAL CURRENT HOUSING NEED (GROSS) 1.1 + 1.2 + 1.3	11,014

9.4 Stage 2 – Future Need (Gross per year)

- 9.4.1 The first element of Stage 2 of the model estimates the annual number of newly forming households in Gateshead and Newcastle. 2,743 household members were identified who expected to form their own households over the next 1 to 2 years and expected their accommodation to be within the area.
- 9.4.2 The 2,743 concealed households identified in the survey and forming within 1-2 years is annualised at the average level over the two year period of 1,371 households.

Table 9-3 Time of Move – Concealed Households

Time of Move	Nos. implied	Annual Average
Within 1 year	1,897	1,371
1 - 2 years	846	

- 9.4.3 This results in an annual average formation level of 1,371 households per annum, used at Stage 2.1 of the model.
- 9.4.4 Using the income of households who recently formed their first home over the last two years 68% can buy in the lower quartile stock in the private market for one, two and in some cases three bedroom units suitable for their requirements.
- 9.4.5 However only 12.5% have savings of £20,000 needed to provide a deposit for purchase and on this basis **87.5%** cannot buy in the area.
- 9.4.6 Based on rental costs **65%** of recently formed households are considered to be unable to afford private rent. The rental proportion is therefore used at Stage 2.2 of the model.

- 9.4.7 The final element of Stage 2 of the model estimates the number of households in Newcastle Gateshead who fall into priority housing need. Households in priority need are those whose circumstances need to be addressed quickly and usually these households are homeless, in high medical need, suffering harassment, living in accommodation which is unfit or in high levels of disrepair or have insecure tenancies.
- 9.4.8 The calculation of existing households falling into priority need used both Councils Housing Register data over a year to April 2012 and found that of new registrations on the waiting list, there were **2,087 households** (681 - Newcastle, 1,406 - Gateshead) in need categories only applied at **Stage 2.3** of the model.
- 9.4.9 The final element of Stage 2 of the model is a sum of step 2.1 multiplied by step 2.2, added to step 2.3 above, giving a total of 2,978 applied at Stage 2.4.

Table 9-4 Future Need (Gross per Year)

STAGE 2 – FUTURE NEED (GROSS PER YEAR)	
2.1 New household formation (gross per year)	1,371
2.2 Proportion of new households unable to buy (87.5%) or rent (65%) in the market	65%
2.3 Existing households falling into need	2,087
2.4 TOTAL ANNUAL NEWLY ARISING NEED (2.1 x 2.2) + 2.3 (1,371 x 65% = 891 + 2,087 = 2,978)	2,978

9.5 Stage 3 – Affordable Housing Supply

- 9.5.1 The first element of Stage 3 of the model determines the number of households analysed in Stages 1.2 and 1.3 who currently occupy social rented or shared ownership dwellings. It is assumed that any move by these households would release a unit of affordable housing, and it is therefore assumed that there would be no overall net effect on the annual flow model.
- 9.5.2 The survey data shows that **6,282** of the households at Stages 1.2 and 1.3 of the model currently live in affordable units, and this total is applied at **Stage 3.1**.
- 9.5.3 The second element of Stage 3 of the model assesses the level of surplus affordable stock. The level of vacant affordable units in Newcastle is low at less than 1% of stock in Newcastle and 1.5% in Gateshead. Guidance states that where the level is below 3% there is no surplus vacant stock.
- 9.5.4 A total of **zero** is therefore applied at **Stage 3.2** of the model.

9.6 New supply

- 9.6.1 The third element of Stage 3 assesses HSSA returns and Council data for the three years to 31/03/2012 to show recent new unit delivery trends to project the number of new affordable units reasonably expected to be built on an annual basis.

Table 9-5 New Affordable Housing Supply - 2010 to 2012

Supply	2009/10	2010 / 11	2011 / 12	Average	%
New Social Rent	141	151	91	128	80
Shared Ownership	0	4	0	1	1
Other New Supply	91	0	0	30	19
Total	232	155	91	159	100.0

- 9.6.2 The average annual new supply total is 159 units per annum, but with some significant variance from 2009 / 10 compared to the last two years. There is rarely a consistent level of new delivery and it is normal practice to take account of the average annual level.
- 9.6.3 The impact of the recession could be expected to reduce new affordable delivery through planning obligations and it is recommended that delivery of 150 units, around the previous average annual level is used at Stage 3.3.

9.7 Right to buy / Demolition

- 9.7.1 The next element of the model estimates the number of units to be taken out of management in the Newcastle and Gateshead area through stock demolition and Right to Buy on an annual basis.
- 9.7.2 The table below shows the Right to Buy and demolition levels from Council data for the four years to 31/03/2013.

Table 9-6 2011 to 2014 Right to Buy & Demolition

	2010 / 11	2011 / 12	2012/13
Right to Buy	65	50	58
Demolition	242	263	1,090

- 9.7.3 The average loss of units through Right to Buy is 58 units per annum and has stabilised. If the average stock re-let rate of 7% per annum is applied to the average RTB figure of 58 units this would equal the loss of **4 future re-lets a year**.
- 9.7.4 Loss through demolition has increased and the planned programme in Gateshead continues over the next three years to 2015 totalling 1,588 units across the area, an average of 529 a year.
- 9.7.5 In 2012/13 the demolition levels in Newcastle were 542 units and 548 in Gateshead, 1,090 in total. This stock has much higher than average re-let turnover of over 19% and will reduce future re-lets by **a further 209 units**.

- 9.7.6 Although a further 1,040 are planned in Gateshead to 2015 the numbers in Newcastle fall significantly to 47 units in 2013/14 and are expected to be negligible thereafter. Future actual demolition data will need to be monitored.
- 9.7.7 The total loss from demolition and Right to buy of **213** units is to be applied at **Stage 3.4** of the model.
- 9.7.8 Stage 3.5 of the model is the sum of Stages 3.1 (6,282), 3.2 (0) and 3.3 (150), less Stage 3.4 (213), a net total of 6,219 units.
- 9.7.9 Existing Stock Re-lets
- 9.7.10 The average annual re-let supply of affordable units is used in the model as a prediction for the future affordable housing supply from re-lets likely to arise.
- 9.7.11 It is important firstly to establish the average stock re-let level (i.e. excluding transfers and new unit delivery). Data from both CORE and Council reports for the year to 31/03/2012 have been studied to identify general needs re-lets, which shows the following:-

Table 9-7 Combined Social Rent Re-let Supply (2011 / 2012)

Council Re-lets	RP Re-Lets	Total Re-lets
3,051	759	3,810

Source: © CORE.& Council data

- 9.7.12 The 2011/12 average annual general needs re-let figure of **3,810 units**, has been applied at **Stage 3.7**.
- 9.7.13 The 2011 Census data recorded a figure of 852 shared ownership units in the Newcastle/Gateshead area. However the Council checked the current stock level with RSL's in 2010 and the stock was found to now total 1,289 units. Actual re-sale data shows a low turnover of 2.7% and on this basis, only 35 units would become available each year and this number is incorporated at Stage 3.7.
- 9.7.14 The final element of Stage 3 is a sum of Stages 3.6 and 3.7, a total of **3,845** applied at **Stage 3.8**.

Table 9-8 Affordable Housing Supply

STAGE 3 – AFFORDABLE HOUSING SUPPLY		
3.1	Affordable dwellings occupied by households in need	6,282
3.2	Surplus stock	0
3.3	Committed supply of new affordable housing	150
3.4	less Units to be taken out of management	213
3.5	TOTAL AFFORDABLE HOUSING STOCK AVAILABLE 3.1 + 3.2 + 3.3 – 3.4	6,219
3.6	Annual supply of social re-lets (net)	3,810
3.7	Annual supply of intermediate affordable housing available for re-let or resale at sub market levels	35
3.8	ANNUAL SUPPLY OF AFFORDABLE HOUSING 3.6 + 3.7	3,845

9.8 Combined Affordable Housing Needs Model

STAGE 1 – CURRENT HOUSING NEED (GROSS)		
1.1	Homeless households and those in temporary accommodation	375
1.2	Overcrowding and concealed households	2,800
1.3	Other groups	7,839
1.4	TOTAL CURRENT HOUSING NEED (GROSS) 1.1 + 1.2 + 1.3	11,014
STAGE 2 – FUTURE NEED (GROSS PER YEAR)		
2.1	New household formation (gross per year)	1,371
2.2	Proportion of new households unable to buy (75%) or rent (65%) in the market	65%
2.3	Existing households falling into need	2,087
2.4	TOTAL ANNUAL NEWLY ARISING NEED (2.1 x 2.2) + 2.3 (1,371 x 65% = 891 + 2,087 = 2,978)	2,978
STAGE 3 – AFFORDABLE HOUSING SUPPLY		
3.1	Affordable dwellings occupied by households in need	6,282
3.2	Surplus stock	0
3.3	Committed supply of new affordable housing	150
3.4	less Units to be taken out of management	213
3.5	TOTAL AFFORDABLE HOUSING STOCK AVAILABLE 3.1 + 3.2 + 3.3 – 3.4	6,219
3.6	Annual supply of social re-lets (net)	3,810
3.7	Annual supply of intermediate affordable housing available for re-let or re-sale at sub-market levels	35
3.8	ANNUAL SUPPLY OF AFFORDABLE HOUSING 3.6 + 3.7	3,845
A	TOTAL NET CURRENT NEED 1.4 – 3.5 (11,014 – 6,219 = 4,795)	4,795
B	QUOTA TO ADDRESS NEED OVER 5 YEARS	20%
C	ANNUAL CURRENT NEED (A x B)	959
D	TOTAL ANNUAL NEWLY ARISING NEED (2.4)	2,978
E	TOTAL AFFORDABLE NEED PER YEAR (C + D)	3,937
F	ANNUAL SUPPLY OF AFFORDABLE HOUSING (3.8)	3,845
	OVERALL ANNUAL SHORTFALL (E – F)	92

9.9 Affordable Needs Assessment

- 9.9.1 Elimination of the backlog over a five year period is recommended in the SHMA Guidance for model purposes and is used here.
- 9.9.2 The total affordable housing need annually is for 3,937 units.
- 9.9.3 Net re-lets of the existing social stock are the major means of addressing the scale of need identified.
- 9.9.4 After allowing for this level of existing social stock net re-let supply of 3,810 units and 35 estimated shared ownership re-sales, there will be an annual affordable housing shortfall of 92 units.
- 9.9.5 However, in arriving at this net position, the Model already incorporates the projected future delivery of 150 additional new units a year and the total net annual need, **before new delivery, is 242 units each year across the combined area.**
- 9.9.6 The table below outlines the calculation.

Table 9-9 Annual Affordable Need and Supply

Total Net Current Need		4,795
Backlog rate	20%	959
Newly arising Need		2,978
Annual Affordable Need		3,937
Less Social Stock re-lets	3,810	
Share ownership re-sales	35	3,845
Net annual need		92
<i>Plus</i> Assumed new units of supply		150
Total Need after existing stock turnover		242

- 9.9.7 The level of outstanding affordable need has reduced only marginally from the figure of 307 in the 2010 SHMA Report to 242 in this up-dated Assessment.

10 FUTURE HOUSING DELIVERY TARGETS

10.1 Overall Housing Demand

- 10.1.1 The NPPF (Paragraph 47) requires authorities to objectively assess the scale of market demand and affordable housing need in their housing market area, which may cross administrative boundaries.
- 10.1.2 The distinction between housing demand and need is fundamentally economic. If a household can satisfy its own requirement for housing in the private market it is termed 'demand' but if some form of subsidy is required it is termed to be 'need'.
- 10.1.3 However the calculation of the total scale of housing to be delivered is complex and can be assessed by a variety of methods. These and the results are listed below to assist the Council in making an objective judgement for future delivery over the life of the Development Plan.

10.2 Affordable Housing

- 10.2.1 The definitions of affordable housing have changed since the 2010 SHMA following the introduction of Affordable Rents and the revised NPPF definition of affordable housing is:-

- *'Social rented, affordable rented and intermediate housing, provided to eligible households whose needs are not met by the market. Eligibility is determined with regard to local incomes and local house prices. Affordable housing should include provisions to remain at an affordable price for future eligible households or for the subsidy to be recycled for alternative affordable housing provision.'*

Affordable housing should:

- Meet the needs of eligible households including availability at a cost low enough for them to afford, determined with regard to local incomes and local house prices.
- Include provision for the home to remain at an affordable price for future eligible households or, if these restrictions are lifted, for the subsidy to be recycled for alternative affordable housing provision.

- 10.2.2 The types of affordable housing are as follows:-

Social rented housing:

- *Is owned by local authorities and private registered providers (as defined in section 80 of the Housing and Regeneration Act 2008), for which guideline target rents are determined through the national rent regime.*
- *It may also be owned by other persons and provided under equivalent rental arrangements to the above, as agreed with the local authority or with the Homes and Communities Agency.*

Affordable rented housing:

- *Is let by local authorities or private registered providers of social housing to households who are eligible for social rented housing.*
- *Affordable Rent is subject to rent controls that require a rent of no more than 80% of the local market rent (including service charges, where applicable).*

Intermediate housing:

- *is homes for sale and rent provided at a cost above social rent, but below market levels subject to the criteria in the Affordable Housing definition above. These can include shared equity (shared ownership and equity loans), other low cost homes for sale and intermediate rent, but not affordable rented housing.*

- 10.2.3 These definitions replace those given in previous editions of PPS3 (2006 and 2010) and related Guidance such as Delivery of Affordable Housing 2006.

10.3 Future Housing Delivery

- 10.3.1 The total delivery of housing outlined in the One Core Strategy Strategic Options is 30,000 units over the period to 2030. Taking account of 4,500 demolitions of obsolete and unpopular stock, the net growth proposed is 25,500 properties.
- 10.3.2 The 2010 household survey identified a market sector shortfall of 1,201 properties in Newcastle and 757 in Gateshead, an annual total of 1,958 properties across the area.
- 10.3.3 However the household survey does not take account of property dissolutions. In the social sector these are incorporated in the level of re-lets of the stock, but they would create existing stock supply in the private sector which should be taken into account in estimating the net shortfall in this sector.
- 10.3.4 Council data suggests that there has been an annual average supply of 456 market properties in Newcastle, leaving an annual shortfall of 745 properties in this sector.
- 10.3.5 In Gateshead there were 381 properties which came into the market through household dissolution, leaving an annual shortfall of 376 properties, 1,121 market sector properties across the area.
- 10.3.6 The SHMA Up-date has assessed an affordable need of 242 units a year prior to new delivery, only slightly lower than the 285 units found in the 2010 SHMA. In total therefore there is demand and need across all tenures for 2,200 properties a year.

10.4 Affordable Housing Target

- 10.4.1 As a core principle, affordable housing targets should be set based on what is sustainable, viable and deliverable.
- 10.4.2 Crucially, affordable housing need should be balanced with the requirements of other corporate strategic priorities for regeneration and economic growth and to improve the housing offer to achieve more sustainable housing markets and communities.
- 10.4.3 The 2010 Assessment recommended that based on the robust evidence the Local Development Framework should consider an **affordable housing target level of 15%**, subject to viability. The position has changed only marginally and the target recommendation is unchanged.

- 10.4.4 The projected average annual housing delivery of 1,600 dwellings to 2030 would provide 240 affordable units if the 15% target was achieved overall, meeting the current need level.
- 10.4.5 Meeting the total need for affordable housing however also involves a range of initiatives in addition to new unit delivery through the planning system:-
- Freeing up under-occupied social units making best use of the existing stock;
 - Bringing empty properties back into use.
- 10.4.6 There is a potentially large increase in the scale of social stock turnover from these initiatives and the Council should assess each development individually and consider the viability of each site on its own merits.

10.5 Tenure Mix Targets

- 10.5.1 NPPF requires the provision of tenure mix targets within affordable housing policies which may vary by location within the District to take account of demand, need and current affordable supply at local level.
- 10.5.2 Tenure mix is a key factor in site viability and in view of the importance of the regeneration strategy and the large potential increase in stock turnover, the tenure mix balance now recommended is **65:35 between social rent and intermediate housing**. Assuming a 240 unit total annual delivery this would result in 156 new social rented units and 84 intermediate sector properties each year. **It is likely that all future social rented units will be delivered at affordable rents.**
- 10.5.3 Bearing in mind the regeneration objectives it may be necessary to deliver a higher level of intermediate housing in the short to medium term to ensure site viability.
- 10.5.4 The recent funding initiative, FirstBuy, for shared equity with developers and lenders could also have a strong short term influence for intermediate housing, for as long as it continues to be supported.

10.6 Future Property Size Targets by Tenure

- 10.6.1 Social and Affordable Rented Housing
- 10.6.2 Local Development Documents also need to provide targets on the size of future housing units required. Stock balance, re-let turnover and waiting list demand have been analysed in Section 8.2 to identify the gaps in the stock and the proportions by size required to address current and future need.
- 10.6.3 Based on the 2012 social rented sector data and the requirement to address priority household need, a level of **60% of future affordable delivery should be small properties**, around 94 units a year to meet the needs of younger single and couple households, older people and small families.
- 10.6.4 However, because of the demand for 2-bedroom units (as opposed to need) and small unit provision, 40% should be 2-bedroom units.
- 10.6.5 As identified in the 2010 SHMA Report, in view of the increasing older population, it is now even more important to achieve a better flow of the under-occupied, family sized social rented stock as a means to help address the scale of need for family units.

- 10.6.6 Although numerically less significant than the scale of need for small homes, the need for four bedroom homes is the most difficult to address.
- 10.6.7 These waiting list households must already be occupying a smaller property and therefore currently over-crowded and are a priority needs group.
- 10.6.8 Given the scale of existing 3 bedroom units in the stock and the limited supply of new affordable rented units short term focus should be to address the four bedroom need.
- 10.6.9 The three and four bedroom requirement should partly be met through targeted initiatives linked to older households under-occupying family accommodation to make best use of the existing stock. The remaining **40% of delivery, 31 units a year**, would be three and four bedroom units.
- 10.6.10 The impact of welfare reform could be very significant and the success of initiatives to improve the flow of three and four bedroom units both need to be closely monitored to assess the on-going requirement for additional new larger units.
- 10.6.11 The levels of need and supply will not necessarily remain at the current level for the next 17 years as has already been seen in the reduced need and supply of four bedroom properties in Newcastle since 2010.

10.7 Intermediate Housing Sector

- 10.7.1 Within affordable supply there is a need for further intermediate stock, primarily to assist young households who previously would have been first time buyers. The major requirement of stock provided in this sector is therefore 1 and 2 bedroom properties, delivered usually in flatted developments.
- 10.7.2 Flatted developments were driven by high land values, the push for higher density, the low cost and ready availability of finance and a strong buy to let market.
- 10.7.3 Most of these factors no longer exist and due to the recession land values are lower, the government has removed the minimum density level and it is has been more difficult to obtain finance for a buy to let mortgage.
- 10.7.4 These circumstances may now favour the return of the 2 bedroom starter house due to the falls in apartment values and the nervousness of lenders.
- 10.7.5 The 2010 survey found that new forming household preference is very strongly for two bedrooms overall. However of the **shared ownership** demand in Newcastle from 107 households a year all required 2-bedrooms.
- 10.7.6 The Coalition Government decision to introduce Affordable Rents at 80% of private market rent levels for new social rented stock effectively removes **intermediate rent** as an intermediate housing option in planning negotiation because there is very limited headroom between 80% and 100% of private market rent in many areas.
- 10.7.7 Due to the existing barriers to households in purchasing a property outright the Council should look at introducing initiatives to help applicants obtain mortgages or deposits such as rent deposit schemes or interest free loans.
- 10.7.8 In Gateshead however there was no demand expressed from new forming households but 28 existing households a year also require 2 bedroom units.

- 10.7.9 At the other end of the household scale there is a potentially significant demand for **shared equity for older people** both in sheltered and extra care housing who need to “trade up” from lower value housing into specialist accommodation or release some equity from a large home.
- 10.7.10 Our view remains that focusing product options with developers is likely to be the most successful option to maximise delivery and address the potential of this sector.
- 10.7.11 To meet the demand from concealed households forming who are unable to buy in the private market and existing households trying to move up through it or resolving relationship breakdown, we believe the property size target balance in this sector should be **20% one and 30% two bedroom** properties.

10.8 Market Housing Sector

- 10.8.1 Future development has to address current and future requirements by stock type quality and size, and both by tenure and location to create a more sustainable and better balanced housing market across the area.
- 10.8.2 The current area stock has few detached properties with the majority being flats, semi-detached and terraced houses. There will be a requirement for family sized units, especially more detached stock over the long term to support in-migration and economic growth and prevent out-migration to more attractive environments and better quality housing and environments in Northumberland, North Tyneside and County Durham.
- 10.8.3 There is a need to consider the impact of future demographic and planned economic growth changes as key drivers of the market and to provide stock which addresses future household formation change and supports.
- 10.8.4 These are long term considerations which influence the need for delivery targets to create a better quality and more balanced stock to support economic growth and regeneration strategies.
- 10.8.5 The 2010 Assessment recommendations were that to create a more balanced housing stock, future development delivery proportions should be 40% one and two bedrooms, 20% three and 20% four bedroom properties.
- 10.8.6 Creating a better balanced stock to will not be achieved without a higher delivery of larger units over the life of the Plan and these targets remain unchanged.
- 10.8.7 A summary of targets recommended by DCA for consideration is shown in the table below.

Table 10-1 Future Housing Delivery by Tenure

Tenure	Bedroom Size (%)			
	1-Bed	2-Bed	3-Bed	4-Bed +
Social/Affordable Rented	60		20	20
Intermediate	20	80		0
Market Sector	40		30	30

11 KEY FINDINGS AND HOUSING TARGET SUMMARY

- 11.1.1 Outlined below are the key market changes which have occurred since the 2010 SHMA and their impact on the issues to be considered when setting future housing targets.

Housing Market Change

- Over the two year period Q3 2010 to Q3 2012, the average property price has fallen by 1.3% in Gateshead and 0.3% in Newcastle.
- Over the 2 year period from Q3 2010 sales levels in the Newcastle area fell by 3.9% and in Gateshead by 6.5%.
- The average property price in Newcastle is £174,693, higher than the average price in the County, (£145,972) North Region (£147,054) but lower than the national average (£249,901). The average property price in Gateshead of £131,082 is the lowest across all the benchmark areas.
- Nationally, loans to first-time buyers have fallen by 52% from 2007 to 2011. The typical first time buyer in October 2012 had a deposit of 20% and they borrowed 3.23 times their income.
- On average a deposit of around £14,000 to £15,875 would be required to buy one and two bedroom flats and £18,000 to £22,500 for two and three bedroom terraced houses in the current Gateshead market. Based on a 20% deposit in the current Newcastle market around £11,250 to £14,490 is needed to buy one and two bedroom flats and £18,750 for two and three bedroom terraced houses.
- The need for a 20% deposit is the key affordability problem for those wishing to buy; based on savings levels 61.9% of concealed households forming in Newcastle and 40.9% in Gateshead will not be able to afford a deposit for a 1 bedroom flat without significant parental assistance.

Income Change

- The 2011 ASHE data shows a median income £23,765 for Newcastle, a 7.0% increase on the 2010 figure of £22,215 and of £23,769 for Gateshead, a 5.4% increase on the 2010 figure of £22,552.
- This has been applied for all household groups to determine the 2011 annual income boundaries and calculate affordability levels.

Population Projections

- The projections are ONS 2011 based sub-national population projections to 2021 and extended by the Policy Research Group of Durham Business School/St Chad's College to cover the Plan period of the One Core Strategy, i.e. 2010-30 but also makes changes to local and international migration assumptions.
- The projections predict an increase in the population of Newcastle of 36,200 people (+13.1%) and an increase of 13,581 people (+6.8%) in Gateshead over the forecast period to 2030 and are the authorities preferred growth scenario;
- The most significant growth in both authorities is in the over 65 age group with an increase of 11,164 people (+32%) in Gateshead and 15,376 people (+39.5%) in Newcastle, over the period to 2030;
- Within the older age group, numbers of people aged 75+ are projected to grow by 5,441 people (+35.9%) in Gateshead and 7,831 people (+40.2%) in Newcastle. Given the support resource demands and specialist accommodation needs often associated with very elderly people, these are significant figures.
- The CLG household projection is for 8,800 extra households (+9.9%) in Gateshead by 2030 compared to 2010. In Newcastle the projection is for 17,600 extra households, an increase of 15.2%.

Affordable Housing Targets

- The total affordable housing need annually is for 3,937 units a year the vast majority of which is met by existing stock re-let turnover;
- Net affordable housing need after re-let supply has reduced from 307 to 242 units a year before new delivery, based on addressing the backlog over 5 years;
- The scale of need continues to justify the affordable housing target of 15%, subject to site viability, recommended in 2010.
- The tenure mix balance between social and affordable rent and intermediate housing is recommended at 65% : 35%, although viability will be a key delivery factor and may require higher proportions of intermediate housing, at least in the short term.

Property Type and Size Targets

- Need in the social rented sector is principally to address the under-occupation of around 9,000 three and four bedroom properties to make better use of the stock;
- The provision of smaller units for older people, particularly Extra Care, will be important in linking to initiatives to free up the under-occupied social rented stock;
- In the intermediate sector delivery should be 20% one and 80% two bedrooms, mainly to meet the needs of new forming households;
- Future delivery in the market sector could be 40% of units for single / couple and small family households, mainly two bedrooms and 60% for larger families;
- These targets would support growth and regeneration strategies and would help to provide a more balanced housing offer across the area and should be used as a guide to developers.

GLOSSARY OF TERMS

GLOSSARY

ABI	Annual Business Inquiry.
Affordability	A measure of whether households can access and sustain the costs of private sector housing. DCA use two types of affordability: mortgage and rental. <u>Mortgage affordability</u> measures whether households can afford a deposit and a mortgage; <u>rental affordability</u> measures whether a household can afford a private rental. Mortgage affordability is based on conditions set by mortgage lenders - a minimum level of household income and savings. We use a 3 times multiple of gross income. Rental affordability is defined as the rent being less than a proportion of a household's gross income. We use a 25% level of rental affordability.
Affordable Housing	Affordable housing is that provided, with subsidy¹, for people who are unable to resolve their housing requirements, in the general housing market because of the relationship between local housing costs and incomes. The definition in PPS3 is:- <i>"Affordable housing includes social rented housing and intermediate housing, provided to specified eligible households whose needs are not met by the market"</i> This definition covers housing for social rent and intermediate housing through shared ownership, shared equity and sub-market rent.
Affordable Rent	A form of social housing, involving homes being made available at a rent level of up to 80% of market rent (inclusive of service charges).
CLG Bedroom Standard²	The standard number of bedrooms allocated to each household in accordance with its age/sex/marital status composition and the relationship of the members to one another. A separate bedroom is allocated to each married couple, any person aged 21 or over, each pair of adolescents aged 10 – 20 of the same sex, and each pair of children under 10. Any unpaired person aged 10 – 20 is paired, if possible with a child under 10 of the same sex, or, if that is not possible, he or she is given a separate bedroom, as is any unpaired child under 10. This standard is then compared with the actual number of bedrooms available for the sole use of the household and the differences are tabulated.
BME	Black & Minority Ethnic.
Choice Based Lettings (CBL)	Choice Based Lettings allows applicants for social housing (and tenants who want to transfer) to apply for vacancies which are advertised widely in the neighbourhood. Applicants can see the full range of available properties and can apply for any home to which they are matched.
CLG	Communities and Local Government. CLG has responsibility for local and regional government, housing, planning, fire, regeneration, social exclusion and neighbourhood renewal with the ambition to create sustainable communities for all. Previously known as DETR, DTLR, ODPM and DCLG.

¹ This subsidy is not always public subsidy.

² This definition is taken from the Survey of English Housing, CLG.

CML	Council of Mortgage Lenders
Concealed Household	A Concealed Household is someone living within a household wanting to move to their own accommodation and form a separate household (e.g. adult children living with their parents).
CORE	The Continuous Recording System (Housing Association and Local Authority Lettings / New Tenants).
DETR	Government body superseded by CLG. (See CLG)
Discounted Market Rented Housing	New Units utilising the equity from the discounted or free land from the planning process where Housing Associations could build at only development cost and provide, without grant, units which would be available at lower than private rented market cost but above Housing Corporation rent caps.
ELASH	English Local Authority Statistics on Housing – The replacement for the HSSA
Existing Household	An existing household encompasses the household in its entirety.
FTB	First Time Buyer – Term used for people who have not previously owned a home
HMO	House in Multiple Accommodation – A house which is occupied by persons who do not form a single household
Homeless Household	A household is accepted as statutorily homeless by the authority if it meets the criteria set out in the Housing Act 1996.
Household	The Census definition of a household is:- <i>“A household comprises either one person living alone or a group of people (not necessarily related) living at the same address with common housekeeping - that is, sharing at least one meal a day or sharing a living room or sitting room.”</i>
Housing Demand	Is the quantity and type / quality of housing which households wish to buy or rent and are able to afford. It therefore takes account of preferences and ability to pay.
Housing Need	Refers to households lacking their own housing or living in housing which is inadequate or unsuitable, who are unlikely to be able to meet their needs in the local housing market without some assistance.
Housing Register	A register of people waiting for affordable housing. It may have two components: a list for those not currently occupying affordable housing (more properly known as the Housing Register) and a Transfer List for those tenants who wish to move to another affordable home within the same District.
HSSA	The Housing Strategy Statistical Appendix.

Implied Numbers	The “numbers implied” column inserted in some of the tables is DCA’s assessment of the total numbers to be derived after applying the appropriate weighting factor based on sub area location and tenure responses to that sub-areas household numbers. Where multiple choice is not involved, this will generally equate to the household population of the Local Authority as a whole but some individual questions may not be answered by all respondents, giving a marginally lower total.
Inadequate Housing	Housing which is inadequate or unsuitable in meeting the needs of the household, comprising a range of criteria on house condition, size, cost and security of tenure. These criteria are used to assess whether the unsuitability can be resolved by improvements to the dwelling, or whether the household has to move to another home.
Intermediate Housing	Housing at prices or rents above those of social rented but below market prices or rents. This includes shared ownership, shared equity and sub-market renting.
LA	Local Authority.
LCHO	Low Cost Home Ownership.
LDF	Local Development Framework. This is a folder of local development documents that outlines how planning will be managed within a Local Authority area.
LTV	Loan to Value - the percentage of loan a person needs against the value of the property.
Nuclear NPS	Nuclear National Policy Statement - The Government wanted a planning system for major infrastructure which is rapid, predictable and accountable. The energy National Policy Statements (NPSs) will be a blueprint for decision-making on individual applications for development consent for nationally significant energy infrastructure.
NOMIS	National On-line Manpower Information System.
NPPF	The National Policy Planning Framework which replaces PPS3.
ONS	Office for National Statistics.
Over Occupation / Over occupation	Over occupation / Overcrowding occurs when, using the bedroom standard , there are insufficient bedrooms in the property based on the number of residents and their age/sex/marital status composition. Over occupation is more common in the public sector than the private sector.
Relets	RSL rented accommodation that becomes vacant due to the departure of a previous tenant; therefore the accommodation can be re-let to another tenant or new applicant on the Housing Register.
Registered Social Landlords (RSL)	A Housing Association or a not-for-profit company, registered by the Tenants Services Authority (TSA), providing social housing.

Right to Buy (RTB)	The Right To Buy Scheme gives eligible council tenants the right to buy their property from their council at a discount. Many RSL tenants have similar rights under the Right To Acquire.
Survey of English Housing (SHE)	The Survey of English Housing is a continuous household survey that collects information from nearly 20,000 households about the characteristics of their housing and their attitudes to housing and related issues.
Sheltered Accommodation	Sheltered Accommodation is housing which is purpose built for older people with associated facilities and services.
SHG – Social Housing Grant	Capital provided by the HCA, or Local Authority, to fully or partially fund RSLs when developing social housing. SHG is paid under s18 of the Housing Act 1996.
SO – Shared Ownership	Either newly built or existing properties purchased by a housing provider, which are then sold on a part rent / part buy basis under a shared ownership lease. The shared owner buys a percentage of the property, funded by mortgage and / or savings. The remaining percentage is still owned by the housing provider who charges a rent on it. Purchasers can, in some cases ‘staircase out’ to full ownership.
SSA	Strategic Siting Assessment – the name of the assessment made by the Department for Trade and Industry on the appraisal of potential sites for Nuclear Power Stations
Transfer	A local Authority or RSL tenant who have transferred to another LA or RSL property
Transfer List	A list of Local Authority and RSL tenants that have applied for alternative Local Authority housing. Housing Associations may keep their own Transfer Lists and some authorities may combine transfer applicants in one Housing Register.
Under Occupation	A household is under-occupying if more than one spare bedroom is available, using the bedroom standard as a test. Under-occupation is common in the private sector.

**LAND REGISTRY QUARTERLY SALES FIGURES
(Q3 2010 To Q3 2012)**

Appendix II Gateshead Sales Transactions Q3 2010 / Q3 2012

Gateshead	Number of Sales Transactions								
	Q3 2010	Q4 2010	Q1 2011	Q2 2011	Q3 2011	Q4 2011	Q1 2012	Q2 2012	Q3 2012
Detached	55	56	45	43	57	57	49	63	58
Semi detached	169	147	94	185	186	194	122	141	168
Terraced	206	169	151	159	146	180	151	171	160
Flat / Maisonette	74	84	56	72	76	67	48	66	85
Total	504	455	346	459	465	498	370	441	471

Source: Land Registry, 3rd Quarter 2010 to 3rd Quarter 2012

Appendix II Newcastle Sales Transactions Q3 2010 / Q3 2012

Newcastle	Number of Sales Transactions								
	Q3 2010	Q4 2010	Q1 2011	Q2 2011	Q3 2011	Q4 2011	Q1 2012	Q2 2012	Q3 2012
Detached	61	78	40	60	76	80	42	59	64
Semi detached	192	165	135	175	221	185	162	152	182
Terraced	218	211	161	223	269	226	190	203	207
Flat / Maisonette	161	146	120	136	203	202	132	108	154
Total	632	600	456	594	769	693	526	522	607

Source: Land Registry, 3rd Quarter 2010 to 3rd Quarter 2012

AFFORDABLE RENT LEVELS BY SUB-AREA

Gateshead Affordable Rent Levels

Gateshead West	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£271	£283	£395	£237	£277	£316
2-Bed	£283	£322	£461	£277	£323	£369
3-Bed	£305	£331	£331	£199	£232	£265

Gateshead Inner	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£271	£283	£475	£285	£333	£380
2-Bed	£283	£322	£358	£215	£251	£287
3-Bed	£305	£331	£471	£283	£330	£377

Gateshead South	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£271	£283	£463	£278	£324	£370
2-Bed	£283	£322	£370	£222	£259	£296
3-Bed	£305	£331	£386	£232	£270	£309

Gateshead Central	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£271	£283	£439	£263	£307	£351
2-Bed	£283	£322	£492	£295	£345	£394
3-Bed	£305	£331	£429	£257	£300	£343

Borough - wide	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£271	£283	£411	£247	£288	£329
2-Bed	£283	£322	£496	£298	£347	£397
3-Bed	£305	£331	£390	£234	£273	£312

Newcastle Affordable Rent Levels

Newcastle North	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£244	£283	£453	£272	£317	£363
2-Bed	£291	£322	£664	£398	£465	£531
3-Bed	£319	£331	£461	£277	£323	£369

Newcastle West	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£244	£283	£405	£243	£283	£324
2-Bed	£291	£322	£349	£209	£244	£279
3-Bed	£319	£331	£411	£246	£287	£328

Newcastle East	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£244	£283	£530	£318	£371	£424
2-Bed	£291	£322	£383	£230	£268	£306
3-Bed	£319	£331	£463	£278	£324	£371

City - wide	AVERAGE LA RENT	AVERAGE RP RENT	AVERAGE PRIVATE RENT	60% of PRS	70% of PRS	80% of PRS
1-Bed	£244	£283	£461	£277	£323	£369
2-Bed	£291	£322	£587	£352	£411	£470
3-Bed	£319	£331	£442	£265	£310	£354